Ep #9 | WTF is Venture Capital? Ft. Nikhil, Nithin, Rajan A., Prashanth P. & Karthik R.

[Speaker 1] (0:00 - 0:09)

My aspiration for this particular session is anybody who's starting a company in the next few years, if they were to watch this, they will learn something.

[Speaker 4] (0:11 - 0:17)

An entrepreneur should go build a business, solving a problem which he cares most about.

[Speaker 3] (0:17 - 0:20)

Look, the excitement in India is higher than it's ever been.

[Speaker 1] (0:20 - 0:26)

We were trying to establish how much VC money has come into India. It's roughly around 60 billion.

[Speaker 4] (0:26 - 0:29)

Are they really investing in you, the fund manager?

[Speaker 2] (0:29 - 0:35)

Are they investing in India? I'm looking 10 years out. I want to see what's a billion dollar opportunity 10 years from now.

[Speaker 1] (0:35 - 2:08)

And what are the typical pays when you start off at a VC firm? 60-70 lakh. What are you saying?

Hi guys, thank you everyone for coming here. First thing I want to say is, this is not me interviewing you or moderating a conversation. This is more five friends trying to have a conversation.

I think all of you have a lot of experience in the venture world and in the investing world. A lot of people want to create businesses, startup, entrepreneurship in India, and they will do so in the next decade. So we want to cover all things startup, what sector to focus on, where it would be easiest to raise funding, which sectors are growing fast, what you guys think are sectors with tailwinds, which one have headwinds.

And we will also kind of talk about the problems of the venture capital world, compare venture capital to PE and Angel, talk about what happened in the last decade, what went wrong and what

can we fix to make sure the next decade is better, not just for us here, but every single guy who's looking to start a company tomorrow. So maybe start off with introductions. I'll come to Prashant last, maybe Nitin can start.

[Speaker 4] (2:10 - 2:12)

Okay, I'm Nitin, his brother.

[Speaker 1] (2:13 - 2:15)

What is Nitin doing here?

[Speaker 4] (2:15 - 2:17)

He just does not like VCs.

[Speaker 1] (2:17 - 2:35)

So we were chatting with each other. Genuine, authentic story. And I was like, you diss VCs so much on Twitter.

Tell me, give me some questions to ask. We chatted for 20 minutes and then I'm like, why don't you just come join?

[Speaker 4] (2:36 - 3:20)

I'm zero prepared. I'm actually wearing his shirt right now. From 2016, we started this thing called Rainmatter, which started off as a fund incubator, I don't know what you can call it.

But we said we can't solve for all capital market problems and we need to associate, partner, etc. And then startups came. So we had built a bunch of APIs for startups to build on top of us.

So Small Quiz was the first startup that came out of the Rainmatter initiative. So the Rainmatter FinTech kind of extended into Rainmatter Health, which I'm very passionate about. And then Rainmatter Climate, which we are supporting through our foundation.

So we have now invested in 80-85 startups.

[Speaker 1] (3:20 - 3:30)

I'm going to ask this question to everybody. In the 85 startups that we have invested in, how many have survived? How many have thrived?

And how many have shut down?

[Speaker 4] (3:31 - 3:43)

For us, I think two have shut down. Because we are very early, right? We are still like four, five years.

And so we're still quite early in the game. Probably they'll have better answers to this.

[Speaker 1] (3:43 - 3:44)

Karthik, would you like to go next?

[Speaker 2] (3:45 - 5:09)

Sure. So I went to the US in 99, after working here for about three years for my business school. And then I said, I want to be on Wall Street, etc.

And when then was the absolute peak of the dot-com boom. So 99, you land up there and then everything shifted. So I spent my winter break, my summer break, everything in Silicon Valley.

So got enamored with this idea of how technology can be applied to everything. And so I tried to break through desperately, but everything came crashing by April 2000. That was the dot-com bust.

And so all jobs evaporated. And if you had a visa issue, then there was nothing at all. And so there was this urge, like this pain to like, try and get into these sectors when nothing happened.

So about five years I spent working there. I was a little directionless, so I moved back. So 2006, I came back to Bombay.

Actually interviewed with Rajan's current firm, despite its new name. I think I met some of his colleagues back in 06, 07. So I think most people thought I was fresh off the boat.

Don't know what the hell is going on in India. Why should I hire this guy? And venture was very new, 2006.

So I recount the real venture story from 06. It was a little bit before 06, but... So I reconciled to the fact that no one's going to give me a job.

And became a banker briefly. And then somehow curiously went to the Times of India group.

[Speaker 1] (5:09 - 5:10)

Why Times of India?

[Speaker 2] (5:10 - 5:18)

I was a media telecom banker. And people thought I knew a lot of stuff about the industry. So I started getting industry jobs.

[Speaker 1] (5:18 - 5:20)

What is a media telecom banker?

[Speaker 2] (5:20 - 7:45)

Serving those sectors. So TMT as it's called. In the West it's called TMT.

Telecom Media Technology. And so essentially you service those sectors because they're all interconnected. And in the 90s, all of these became intertwined.

And then the Lehman crisis happened. And then whatever little sort of entrepreneurial hooks that the Jain brothers at times were giving me, they all got pulled back a little. Because they became very conservative on the capital.

And ironically, I was actually their corporate rep on Mumbai Angels and Indian Angel Network. So I knew of like Prashant, etc. remotely.

Because we used to cut like one small file action check and Axel would be a co-investor back then. Rajan, of course, was doing his own thing, but through Indian Angel Network. So one thing led to another.

And I said, if I'm doing, I'm so passionate about this over weekends. And they didn't give me any money. So I ended up taking all my savings and putting five, 10 lakhs.

Ran out of it in like six, seven checks. I was a salaried employee. And then I'd actually helped sell a guy, one guy's business.

So he's become like a brother to me. So he trusted me blindly. So I made him a few tens of crores.

He said, you can take four, five. So he said, I started using that as a balance sheet and investing for him. As I said, if I can do this on a weekend, once a week, once a month, then what if I can do this full time?

So that yearning from 2000 came back in a big way. And interestingly, I don't know if Prashant knows this story. I have to tell it someday, but Shekhar Kirani works there.

And me and Sanjay Swamy and all of us were pieced together by this gentleman called Rajesh Jain, who runs Netcore. And we became a think tank to think about what early stage investing should be like in India. And it lasted about six months and momentum spluttered.

And I was one of the few guys who actually built a deck out of it. And it was called Project Factory. And there were two models, basically.

I think Sanjay Swamy and Prime became, he went to UID, but after that he became more of a curated 10 companies. And I became the other extreme. We did 67, 70 companies in our first fund, right?

So we were total Silicon Valley Super Angel Fund model. We adopted that. And we did our recce work in the US and we saw that micro VC was erupting.

So we picked and chose this model and that's how Bloom started. So it's been 12 years, a little over 12 years.

[Speaker 1] (7:46 - 7:49)

How big is Bloom now? And how many companies have you done? In our fourth fund.

[Speaker 2] (7:50 - 8:49)

So we've had like a little bit of a quantum leap in the last year and a half. We were tiny, 100 crores. 60 million when the rupee was 66, so about 400 crores, then 700 crores.

And now we're like $290 million, which is about 2,300 crores in one single fund. This is 2023? 21, late 21.

So we're halfway into that fund cycle. And then we've been hustlers. So where we've had our best companies break out, we've not been willing to let go.

So I can never be a perpetual fund as easily as you could be with your own capital. I still have to meet our investors' requirements of returning money every 10, 12 years. But as a hack, we basically raised what are called opportunity funds.

So we can keep playing to our best companies. So while I have primary capital in these four funds of almost 475 million, I have another 150 through what I call continuity vehicles.

[Speaker 1] (8:50 - 8:54)

What is the return, say somebody coming into Bloom, should ideally expect?

[Speaker 2] (8:56 - 9:46)

So international investors won't touch early stage India VC if they don't, can't imagine a world where you can deliver 25% compound return. You might fail miserably at it, but if that's not their hope, they won't touch you. So it's a tall ask.

So it's also currency adjusted for them, right? That too, right? So basically, if you adjust currency, for Indians it's taxes, there's carry, which we take a share of profit.

So if you don't shoot for that much, then why, like I tell my colleagues as well, why bother coming to work? So it is, we are taking long-term, illiquid, early stage risk. It's crazy risk.

So if you draw the classic conventional financial risk-return curve, the highest end of the risk curve. So you better shoot for the highest returns. There's no escaping that.

[Speaker 1] (9:47 - 10:05)

So in the little bit of research that we did, we categorized you as IIT, IIM, Wharton, bungee jumping, snorkeling, South Indian boy in Andhra Pradesh, married to a girl who is in the creative industry.

[Speaker 2] (10:05 - 10:06)

A lot of research.

[Speaker 1] (10:06 - 10:11)

Is that how you would paint Karthik? So how would you represent who Karthik truly is?

[Speaker 2] (10:12 - 10:24)

So by all of what he characterized, I'm not satisfied with lack of adventure. So therefore the double MBA. I was desperate to get out of the country.

[Speaker 1] (10:24 - 10:27)

I think we're trying to make a case for people who are going to college.

[Speaker 2] (10:27 - 10:27)

Yeah.

[Speaker 1] (10:27 - 10:34)

From somebody who has been to a college here and there, both top of the line. I think your experience would be very relevant.

[Speaker 2] (10:34 - 11:30)

Yeah, but like, so as a double MBA though, it's not an apples to apples comparison because I hacked my second one. In the sense that I finished, almost finished my finance major in the first year. And started experimenting in the second year.

And I met my wife at UPenn. So when people ask, it was written in the stars. It had nothing to do with me getting to Wharton.

And so, and then you do a lot of experimental stuff. And all of this experimenting on the West Coast, doing internships through your third semester, almost finished by the third semester. All of that hacks were possible because I'd done one.

So mine was not the conventional, conventional MBA. But yes, apples to apples, I would say, please work and go. You can't relate to the MBA otherwise.

Ideas to seek adventure. And I think venture capital for me was always a tool of massive, scalable impact. And ventures, in my, it's a beautiful craft because you can actually get a shot at doing both.

That's the motivation.

[Speaker 1] (11:31 - 11:32)

Rajan, would you like to go next?

[Speaker 3] (11:33 - 11:44)

Yeah, so I'm Sri Lankan. Born and raised in Colombo, Sri Lankan Tamil. I left the country because most Sri Lankan Tamils left.

[Speaker 1] (11:44 - 11:45)

When was this?

[Speaker 3] (11:45 - 11:46)

87.

[Speaker 1] (11:46 - 11:47)

How old are you, Rajan?

[Speaker 3] (11:47 - 12:15)

I'm over 50. My story, so I left in the late 80s, went to school in the US. University, undergrad, grad school.

I worked at McKinsey, Chicago for a long time. I worked at McKinsey because I couldn't get a job at Ford or General Motors. I was a mechanical engineer, manufacturing systems.

I really wanted to be- And before that, college? US, yeah. MIT and Stanford, engineering.

Before that? Before that, Sri Lanka. So I grew up in Sri Lanka, 100%.

[Speaker 1] (12:15 - 13:13)

One thing I really wanted to ask you before we move to the next phase of your life is you grew up in a country filled with conflict. And I read stories like you saw people getting dragged out of their car and killed and you lost your father early in life. Two facets, two directions.

One, do you think there is a correlation between trauma, insecurity, and turmoil in childhood which kind of makes the odds of being successful later in life higher because you're overcompensating for something or making up for feeling vulnerable at some point when you were really young? Question A. And B, if you could throw some light on the Sri Lankan conflict because we've had like a bird's eye view because we're next to them but I don't really know where the conflict started and what is happening right now.

[Speaker 3] (13:13 - 14:37)

Lixi, when you go through a period like that, right? Where, I mean, it was one day actually that tens of thousands of Tamils were killed. So, you know, imagine driving back home from school and in front of you and behind you people are being pulled out of their cars and burnt.

Okay. And the only reason that my, I have a younger brother who's five years younger than I am, lives in the US. The only reason we are alive today is because we speak Sinhalese and Tamil.

So, you know, when you go through a period like that and then of course, lots of things happened after that but, you know, that day I had 30 classmates. Several of my classmates died. Several of my teachers died in my class.

So, when you go through a period like that it was a very traumatic period, obviously. But, you know, one of two things will happen to you. Either you become very hateful or you become very grateful.

There is only two states. So, fortunately, I just became very grateful. So, now, you know, so you can imagine, right?

So, I ended up much later running large companies. Billions of dollars of revenue. So, I used to have bad quarters and good quarters.

So, you can imagine having a bad quarter is nothing compared to being dead, you know? So, I just wake up every day. I'm just really glad to be alive.

And so, you know, I find...

[Speaker 1] (14:37 - 14:51)

I so resonate with you. I feel like heightened traumatic experiences in life speeden up evolution

significantly. To me, the most attractive people are the most scarred of people because I think in those moments is when you evolve.

[Speaker 3] (14:52 - 16:08)

Yeah. And you also like... But it can also go the other way, by the way, right?

You can become very hateful. You could become... It can, you know, and I've seen that happen as well to people.

So... Dad? No, so my dad was a lawyer who loved adventure sports.

He, you know, for fun, he would do endurance sports. He was the first Sri Lankan to swim across the Pog Strait between India and Sri Lanka. He was the first Sri Lankan to swim both ways.

So, anyway, he died. He was trying to swim the English Channel. He died of hypothermia, which means your brain freezes.

He broke his hip on a bike, a motorbike. And he went to London to get surgery. And then while he was there, he got his hip operated on.

He's like, hey, I'm here. I always wanted to swim the English Channel. It was early August, and you should not swim the English Channel in the early August, especially if you're Sri Lankan because you're not used to the cool waters.

So, basically, halfway through... Basically, what happens with hypothermia is your brain stops working, but your body keeps going. And so, they knew that something was wrong.

So, they basically airlifted him. He was dead on arrival when he got to Dover. So, I lost my dad.

So, he didn't pass away in the conflict.

[Speaker 1] (16:09 - 16:18)

Sorry if I got more personal than I should. No, no, it's okay. Did you do so well in life because of these heightened experiences of your youth?

[Speaker 3] (16:19 - 16:26)

I don't think, like, folks... I mean, we're old. But, like, if we think that, you know, we've been successful by now, I mean, that's game over.

[Speaker 1] (16:26 - 16:38)

Because your jobs are to gauge entrepreneurs, essentially, and bet or not bet on them. I'm trying to arrive at... If you were to map childhoods of 100 people you bet on?

[Speaker 3] (16:38 - 16:54)

Oh, certainly. You know, people who... Like, I didn't have any options, okay?

There was no plan B. When I left, I had a one-way ticket. I had a couple of hundred dollars in my pocket.

Fortunately, I had financial aid from MIT. And there was no going back.

[Speaker 1] (16:54 - 17:05)

So, do you have a predisposition that you will not invest in companies where the person you're investing comes from an affluent family and hasn't had ups and downs in life?

[Speaker 3] (17:05 - 17:37)

I don't have a predisposition, but... So, for instance, you know, there are founders we have invested in, right? Who come from very well-to-do families.

But it just so happens... Yeah, but that is not... India, that is not the norm in India, right?

If you look at India, you look at... I mean, we just happen to, you know... If you look at the IIT grads or you look at...

You know, they tend to be not from that... That... That mold.

That... Yeah, that TG, if I can call it that, right?

[Speaker 1] (17:37 - 17:41)

Would you extrapolate and say, out of a hundred companies you invest in, how many...

[Speaker 3] (17:41 - 17:57)

I don't know. Actually, I shouldn't comment. I don't know the...

I honestly don't know the percentage. But it's not... Yeah, it would be in the 10, 20, that kind of percentage.

At most. Because I think... I think hunger...

You can't teach hunger.

[Speaker 1] (17:58 - 17:59)

I think that's the point.

[Speaker 3] (17:59 - 18:10)

You know, the drive, the hunger, the... I think people who come from nothing. Who have a point to prove.

I think they generally tend to be the ones that...

[Speaker 1] (18:11 - 18:16)

Can you extrapolate to say broken families produce more ambitious children?

[Speaker 3] (18:17 - 18:18)

I don't know whether it's broken families.

[Speaker 1] (18:19 - 18:20)

You think it's more a financial thing?

[Speaker 3] (18:21 - 20:06)

So you have to have parents who are very supportive. Because if you don't get the right... At least in our part of the world, right?

Without the right education, I think it's very hard. You can still do it. Lots of people do.

It helps you get that edge. I think you have to have parents who are supportive. But it does...

It does help you if you come from... If you're not very well-to-do. Because, you know, that's why...

You know, if you look at India, right? You look at all the Fortune 500 Indian origin CEOs. Sundar Pichai, Satya Nadella.

You know, like they come from middle-class families. And they have a... But they did got great education.

So I think that combination I find is the... Anyway, so I spent 15... I spent a long time in McKinsey.

Then I ended up working for Michael Dell. I ended up in India because of that. Then moved to Microsoft.

Ran Microsoft India for a couple of years. And then spent a long time at Google. Leading Google India in Southeast Asia.

For a long time, I was a very active angel investor. Which is how I know Karthik from very early... So when I moved, I moved in 2005.

I made my first angel investment in India. I was... I had made it...

You know, I was an angel investing in the US. But made my first angel investment in 2006. Joined Indian Angel Network.

I think we saw one company once a quarter. That was sort of the rhythm. That was what India was, right?

And then I spent... I joined Peak 15, which was then... You know, we rebranded.

We used to be called Sequoia Capital India. Southeast Asia. Almost four years ago.

So what I do now is... I focus on very early stage companies. So seed stage.

So if you're raising three to four million or less. And we launched a program called Surge. Where I spend most of my time.

Which we've had the great fortune of having Nitin come and talk to our founders many times. Yeah, so that's what I do.

[Speaker 1] (20:06 - 20:09)

How many companies size of the fund today?

[Speaker 3] (20:10 - 20:16)

So Peak 15 has about nine billion under management. Of that, two and a half billion is dry powder.

[Speaker 1] (20:17 - 20:18)

What is dry powder?

[Speaker 3] (20:18 - 20:39)

Dry powder is we haven't invested. So essentially last year in June. 2022 June, we raised 2.8 billion. So of that 300 million we've invested. So we have 2.5 billion. That dry powder is a term in our industry where...

That's investable capital, right? That we'll invest over the next several years. Peak 15 has 400 plus active companies.

Okay.

[Speaker 1] (20:40 - 22:14)

Yeah, so Prashant, I don't know. Should I preface your introduction? Make it look a little more

colorful.

Good. So Prashant and I are really close friends. We probably do two, three dinners in a month.

Travel once in three, four months. And there's probably a dozen businesses we've invested in together. A charitable thing called YIPP.

But we actively engage a lot. And I think we speak on the phone very often. And we figure out what to do next and stuff like that.

And he's always been a great source of advice. And somebody I've reached out to for many, many different things. I think not just me, but he's very close to Nitin as well.

The one thing about Prashant that no one knows is outside of Axel and what he does professionally. I have not seen a more relentless man who has so much more energy than I do at my age. Who's doing a hundred different things every day.

Like if you call him up at five in the evening he will be talking about garbage and sanitation in Bangalore. If it's COVID, he'll be trying to import oxygen concentrators from somewhere. This is him.

Like perpetually. This is the day to day in his life. So with that maybe...

Anyway, I'll keep myself busy. I think here everyone but Rajan is Bangalore. And you went to St. Joseph's, right?

[Speaker 2] (22:14 - 22:15)

No, no. I'm a Chennai boy.

[Speaker 1] (22:16 - 22:17)

Oh, you didn't go to school in Bangalore?

[Speaker 2] (22:18 - 22:19)

Only I'm Bangalore.

[Speaker 1] (22:19 - 26:57)

But in general, in the VC ecosystem you don't find a lot of Bangalore folks. But anyway, I went to engineering the same college as Nitin here in Bangalore. And went to the US immediately after engineering.

What did you do before engineering? What did your parents do? My dad started his career in the public sector.

So he worked at HMT. Must have been clocks. Clocks.

And I mean, he worked in the foundry. But he was my first exposure to entrepreneurship. So he quit his job in the public sector.

And in those days, you had this whole public sector trying to create smaller supply chains for themselves. So ITI created this program to have different entrepreneurs come and supply parts to them. So he got one of those opportunities and started a small-scale industry.

So when I was maybe in sixth or seventh grade, I remember him trying to get his first 10 lakh rupees or 5 lakh. I don't remember what it was to start the industry, right? And in those days, there was no wedge schedule.

So it was like really a different thing to be a startup entrepreneur. But it was a very different India then, right? So I have some little bit of memories of what it is to be an entrepreneur in the India of that era.

Very different. When did you meet Subrata again? Which year?

When did I meet Subrata was 88. Okay. 88.

And then? Then in 2004. So Subrata exits Tawant, right?

I exit Netcraft, right? Both of us are in Bangalore. If we try to figure out what to do next, and that's where we start Erasmic.

That was 2004. Would you call that a venture capital firm? No, we were an incubator.

Okay. We were an incubator. Back then, there was no venture capital?

No, no. There was one round of venture. No, I raised venture for Netcraft.

Okay. You and Subrata started the Erasmus? Yeah, Erasmic.

Erasmic and then? Erasmic. And then in 2006, along with Google, started a fund.

That was a fund. So the first one was the incubator, which was for a very short period, and which became a fund. 10 million dollar fund.

In 2006? 2006, 2006. So you've basically been wealthy for a long time.

Then? No wonder all that land. Keep going.

So 2008, Accel had started London, China, and they said, okay, I mean, one of the early guys to, I think Sikar was already, was there in India. So one of the early guys to look at venture, I mean, global venture. Three highlights of the Accel journey?

Flipkart is one. Second, we've been early in multiple categories, and been able to kind of be part of category-defining companies in those. Started with e-commerce, SaaS, B2B, hopefully a few others.

So if you were to pick the three best investments for Accel, which one would they be? Flipkart, Freshworks, and I think just in terms of just character and type of company, book my show. Okay.

Scale of Accel today, and the returns somebody can expect from investing in Accel. And how many companies? 220, 225 investments.

How many are alive? How many have killed it? And net return?

I would say 70% of them are still alive. It's usually 2% to 3% of your portfolio that will return 80%, that will give you 80% of your returns. I mean, it's that skewed.

Has that been the same for everybody? 2% of portfolio, 80% return?

[Speaker 3] (26:57 - 27:03)

Yeah, maybe it's slightly higher, but yeah. I mean, you know, the power law is. Yeah, less than 5%.

Yeah, power law is 5%.

[Speaker 2] (27:03 - 27:15)

Somebody taught me a rule of thumb that basically, irrespective of size of portfolio in a cycle, so it's important to measure this in cycles, it's disproportionate in their case because you'll have these free kits, like Flipkart and Freshworks.

[Speaker 1] (27:15 - 27:15)

Right.

[Speaker 2] (27:16 - 27:26)

But in a cycle, if you invest in 20, 30, 40, 50, it doesn't matter, about five will return 85% to 90%. 5%? No, just five companies.

Oh, okay. Irrespective of the size of portfolio.

[Speaker 1] (27:27 - 28:27)

And then you will have about 20, 30% that will, in our business, you know, give you like a 5x, which is not bad. Yeah. You know, it's over a 10-year period, 11-year period, so it works out to a decent IRR.

Makes sense. Right? And then you have about 15, 20% who kind of just give you back your money, right?

So the point of today very much is, in college, you don't really learn much about the pragmatic nature of starting, running a company, picking a sector, what you should do, what you should not do. So we leave all our individual egos aside and the personalities aside and focus and fixate upon somebody starting a company and everything we can say from our knowledge pool that can help them. So this becomes my aspiration for this particular session, is anybody who's starting a company in the next few years, if they were to watch this, they will learn something about something.

[Speaker 4] (28:28 - 28:34)

No, I have actually two questions. Yeah, go ahead. So one, Rajan, with you, you've invested in over 200 companies?

[Speaker 3] (28:35 - 28:36)

As an angel, yeah, several hundred, yeah.

[Speaker 4] (28:37 - 28:41)

How do you, I mean, how do you keep a tab? As in, like, how does it work?

[Speaker 3] (28:41 - 29:03)

So I think, look, when I was an angel, I mean, I was running, you know, I had an operating job. So, you know, I was, I was sort of, I had the simple thing, which was, I was on call. Anytime any founder called me, I would always...

No, no, I know, I've heard that, but how are you giving time? No, so no, meaning, no, so only when they call me, I would make time. I mean, look, it was 24-7.

[Speaker 1] (29:03 - 29:05)

Are you giving time to all the angel companies?

[Speaker 3] (29:06 - 29:07)

And why are you expecting him to?

[Speaker 1] (29:07 - 29:09)

But I'm trying to find out how he's doing it.

[Speaker 3] (29:09 - 29:15)

Most companies don't call, right? So it's not like I'm calling to say, hey, what happened last quarter? Or what happened last month?

[Speaker 4] (29:15 - 29:16)

You never do that, is it?

[Speaker 3] (29:16 - 29:17)

No, no, no, I mean...

[Speaker 4] (29:17 - 29:21)

No, because you actively also exit these companies. How do you make those decisions if you're not...

[Speaker 3] (29:22 - 29:46)

Oh, I learned, you know, I learned something. So 2006, I joined IAN. I think by, I think around 2012 or 13, I learned the simple thing as an angel, which is every time there's a round, you ask yourself a simple question.

Can it 5X from here or not? So if it can't 5X, as an angel, the good thing is you can exit. Good companies, everybody wants to buy, all the VCs want to buy you out.

[Speaker 1] (29:46 - 29:53)

And I think, Arjun, it's also good to clarify that angels are a very different kind of class, right?

[Speaker 3] (29:54 - 29:54)

Than funds.

[Speaker 1] (29:54 - 30:12)

Than funds, institutions. And the founders have, don't have that expectation of you spending time with them, right? So they, like if you randomly give them like one or two good contacts, I mean, I think your job as an angel is...

I mean, there are a few angels that are more active and...

[Speaker 4] (30:12 - 30:19)

No, no, but the thing is still, you know, just keeping a tab of 200 companies and knowing... I mean, I get it if you invest in...

[Speaker 2] (30:19 - 30:20)

I think 95% of angels struggle.

[Speaker 1] (30:21 - 30:25)

Are you asking from him the investor perspective or the company perspective? No, as an investor perspective.

[Speaker 3] (30:25 - 30:32)

As an angel, look, so the thing is, you know, I had a simple, there are three things. Firstly, anytime there's a round, you have to sign docs.

[Speaker 1] (30:32 - 31:51)

No, you have to sign docs. So you guys are venture capital funds, which take money from large family offices, sovereign funds, PEs, different kind of people generally outside of India bring the money into India. What kind of a return are you forecasting for them when you take the money?

They all are in public markets through various other, you know, funds. They have been investing in asset classes like real estate and some of these others, again, over the vintage. I think venture is new for a lot of them.

So they have seen venture in China. They've seen venture in the US. I think India is still experimental or has been experimental.

Now they're getting to the stage where they want to see returns from India. They want to see, you know, India starting to deliver the kind of returns they expect from these other geographies. But what is the rate of return that you're, you're going to LP and pitching, you're going to a limited partner and pitching your fund to take their funds.

What are you seeing? Will you make 15% a year, 10% a year, 20% a year? Actually, you know what?

I think compounded, they would like to see that something in the neighborhood of...

[Speaker 3] (31:51 - 32:02)

Yeah, north of 20% net dollar IRR. Net IRR. After the carries, after the fees.

Carry is basically what, of the gains. No, I'm for the audience.

[Speaker 1] (32:03 - 32:07)

Is that the same? I think the first part of the question, is that the same for all three of you?

[Speaker 3] (32:07 - 32:14)

The LP, I mean, because I mean, I think all of us raised from the same set of limited partners, endowments, institutions, et cetera.

[Speaker 2] (32:14 - 32:28)

And they're very methodical in the way they allocate. And how do you first find these limited partners? I mean, with all due respect to their efforts, I think they are riding a little on their franchise relationships.

So, their American brands and Chinese brands...

[Speaker 1] (32:28 - 32:30)

So, he's saying we don't work for our fundraising.

[Speaker 2] (32:30 - 32:35)

He has to work for our fundraising. No, no, which is a fact. There's enough of a track record to rely on.

[Speaker 1] (32:35 - 32:41)

It's a fact that without a parent, you know, like overall thing, like how we all got started.

[Speaker 2] (32:41 - 32:43)

We try to ride on their sort of coattails.

[Speaker 1] (32:43 - 32:44)

How do you do that?

[Speaker 2] (32:44 - 32:49)

No, they've... A, they're talking to a certain set of people. So, people are exposed to India.

[Speaker 5] (32:49 - 32:49)

Right.

[Speaker 2] (32:50 - 32:53)

So, they come asking. They come and visit them.

[Speaker 1] (32:53 - 32:53)

Right.

[Speaker 2] (32:53 - 33:00)

And they say, hey, tell us who else is emerging. Right. So, Prashant will be kind enough to make three introductions and say, you should meet these bloomers.

[Speaker 1] (33:00 - 33:02)

But I'm saying referrals play a huge part in this.

[Speaker 2] (33:02 - 33:15)

Huge, absolutely. It's about trust. And both of you know this better than anyone else.

You manage people's... Or you basically handle money. Money is more about...

I would actually index trust more than returns.

[Speaker 1] (33:16 - 33:44)

See, because for a lot of them, India is something they're kind of starting like a 20-30 year journey. I mean, that's how long these institutions take. Because of the events around leakages and compliance and governance in India recently, the trust that all of you worked so hard to build over the last 10 years, 20 years, I'm talking about that trust, which went from zero to 80, has come down to what number now?

[Speaker 3] (33:44 - 34:38)

Look, I don't... Honestly, I don't know where the trust has come down. FTX, okay, is like 10 times.

You look at FTX, you look at... This doesn't happen only in India, right? I mean, I know it's happened to us.

And obviously we should collectively do a lot more to make sure that we mature the ecosystem that we used to be. But if you're a global investor... FTX was 10 billion, right?

Total value lost was 10 billion. Not that the venture capitalists lost. We are yet to see one...

And that's one of several that have happened. So it's not a... You know, and because these LPs have a global view, right, they invest in US funds, China funds, India funds.

So what they're... You know, the questions are really, look, why is this happening? What is the ecosystem doing about it?

No, that's a fair point. And so I think it's not a... Because we are in it, of course, it's something that

we need to address.

There's no question about it.

[Speaker 1] (34:38 - 34:40)

You're saying it's not an India problem, it's a global problem.

[Speaker 3] (34:40 - 35:33)

Absolutely not, right? I mean, look at the data, the data shows, right? I mean, you have to keep in mind that, you know, because we're here in our ecosystem, right?

We see this huge correction. But this is a global phenomenon. Public tech stocks outside of the FAANG are down between 60 and 80%.

Zoom's down 90%. It's one of the greatest companies. Maybe it's up now, but it was down 90%, right?

So similarly, if you look at private tech valuations in the US, they have corrected much more than they have here, right? Here, I think it's a phasing issue. So what has happened over the last two or three years is not an Indian phenomenon.

It is a global phenomenon, right? So and these institutional investors, they invest globally. They invest in the US, which is where most of their capital is deployed.

They invest in China, they invest in India. So for them, this is not an India phenomenon.

[Speaker 4] (35:33 - 35:54)

I mean... So I had like, you know, just to add on to the question. So these LPs, I mean, the investors are sharp, right?

As in they made money. So my question is, are they really investing in you, the fund manager? Are they investing in India?

I mean, what are they investing in? I mean, they already are sold to the India opportunity and then they're selecting a fund manager?

[Speaker 2] (35:54 - 36:03)

Yeah, it's a sequential decision, I think. Whenever I'm faced with it, and I'm on the receiving end a lot, is you don't get to the second part unless they're sold on India.

[Speaker 5] (36:04 - 36:04)

Right.

[Speaker 2] (36:04 - 36:55)

And within India, if they've already allocated, the big question is, do I need to allocate more? Right. Or am I, as Prashant said, am I still experimenting with the market?

I have a check with Axel, I have a check with another fund. I'm okay for now. Why do I need to add Bloom?

Got it. Right? So for them, it's about until...

And with... I mean, no pressure on Prashant, but unless he delivers in spades, they don't need to necessarily add me. Right.

Right? And so there's a sequencing. And then within that also, there is late stage, early stage.

The guy might not like my strategy, right? And so it's not about like investing in a manager, but they have to actually relate to the strategy. I know $50 million check writers who say, you guys play too early.

I don't like how early you play. And then... You guys do too much work for too little.

[Speaker 3] (36:55 - 37:04)

So they have to believe in India first. Right. And then once you decide that, then you decide, okay, who are the best fund managers that you want to invest in that?

[Speaker 4] (37:04 - 37:07)

And then they look at the spectrum of early stage.

[Speaker 3] (37:07 - 37:08)

Early stage, growth stage.

[Speaker 4] (37:08 - 37:15)

And how do they benchmark you? As in, what do they benchmark you against? Just...

Too early. So we are setting that, right? You're setting...

[Speaker 1] (37:15 - 37:16)

Between all of us.

[Speaker 2] (37:16 - 37:17)

The first 15 years.

[Speaker 1] (37:17 - 37:20)

The first 15 years, you're setting that expectation.

[Speaker 2] (37:20 - 37:27)

Exactly around 16, 17 years, since this wave began. Right. I think most people wrote off the pre-2005 wave.

[Speaker 4] (37:27 - 37:27)

Right.

[Speaker 2] (37:27 - 37:47)

So essentially the resets happened in 05, 06. So almost all the top 10, 15 funds that you see would have been born around then. And then another wave in 11, another wave in 15.

Now another wave in 18, 20. So managers are being built that way. So the new manager will be judged on the back of are you doing as well as the old manager?

[Speaker 1] (37:47 - 37:54)

Is there a tax arbitrage there? If you're global money coming into India, do you pay lesser tax than Indian money investing in India?

[Speaker 2] (37:54 - 38:10)

Yeah. Actually, to your point, there isn't a tax arbitrage. Everybody pays the same taxes.

It's only certain global sovereign funds which have a double tax treaty equivalent. So they don't have to pay the taxes. But everybody else has to pay.

[Speaker 3] (38:10 - 38:21)

So for instance, let's say we take, you know, as peak 15, we've had 19 IPOs, right? Domestic market IPO is the same, whether it's a domestic AIF, whether it's us, we pay tax. There's no difference.

[Speaker 2] (38:22 - 38:35)

So the only reason they pool outside the countries because they don't want to pay the tax themselves in India. So we deduct and send the money if you're an international investor. So there's no tax filings for them in India.

But the tax treatment is the same.

[Speaker 1] (38:35 - 38:47)

But that's a good segue into the first topic when we're talking about venture capital. I think we should distinguish what is venture capital? What is PE?

What is the angel fund?

[Speaker 2] (38:47 - 39:31)

I keep joking, the only person you're responsible when you're angel investing is your spouse. Right? So there's no institutional responsibility.

It's your money. When I was doing research around starting Bloom, the US had 300,000 registered angels. So I feel like 95% of them are like part-time, pastime.

So they have made money as entrepreneurs or whatever it may be, or as professionals. And they like to help out someone. So it could be their colleagues, friends, children, whoever.

And that's also angel investing. Then they join networks. They put a little bit.

But 5% of them become sort of professional angels. They actually think they can make money off this.

[Speaker 1] (39:31 - 39:36)

What is the quantum which you would say is angel? Like if I'm investing 10 lakh rupees in a company?

[Speaker 2] (39:37 - 39:43)

Sadly, in India now people are raising 1 lakh through various mechanisms. I find it super dangerous.

[Speaker 1] (39:43 - 39:46)

So what is the upper limit of angel?

[Speaker 2] (39:47 - 39:50)

I've seen people put 1-2 crores. 1-2 crores. Yeah.

[Speaker 1] (39:50 - 39:56)

So let's say that is the peak that we would categorize as angel investing. From 0 to 1-2 crores.

[Speaker 2] (39:56 - 40:17)

That means the characteristic of the person putting the money is more important. When we started, angel groups used to take 5 lakhs, 10 lakhs. Now it's so democratized that people are actually hunting tier 3 cities and getting 1-2 lakhs in a syndicate of 2-3 crores.

It's good and bad. You're diversifying somebody's capital at that stage. But I don't think they know what the hell they're investing in.

[Speaker 1] (40:17 - 40:30)

So I have many friends who do a lot of angel investing. Like hundreds of companies, tiny cheque sizes. Would we all say that the odds of making a return net-net is least in angel investing?

[Speaker 2] (40:31 - 40:41)

You said easiest? Least. Least.

No, not at all. Hardest. I think 90% do pretty badly.

From what I remember the US stats back then.

[Speaker 1] (40:41 - 40:43)

90% of angel investors lose money?

[Speaker 2] (40:44 - 40:46)

Not lose maybe, but their returns will be pathetic.

[Speaker 4] (40:46 - 40:50)

But isn't that a factor of the deal flow? As in...

[Speaker 1] (40:50 - 40:56)

Absolutely. Absolutely. But I don't think we can get specific here.

If you were to add all the angels and all the deals I'm talking about...

[Speaker 2] (40:56 - 41:13)

It isn't like that. I mean, if you... They really don't know what they're getting into.

And it's adverse selection. Today, they'll come to Prashant, Rajan and me. If they're really that good.

And pick up a million dollars. That's your best entrepreneur. Why would you touch angel money?

Or why would she touch angel money?

[Speaker 1] (41:13 - 41:26)

So I'm not talking about those 1-2 exceptional angels who have a distribution network by virtue of fame. I'm talking about anybody investing 1 lakh up to 1-2 crores. I'm adding all the deals you've done together.

[Speaker 4] (41:26 - 41:37)

No, that's what the thing is. I think as an angel investor, the best odds is to invest in something where your value is not the money. Because if it's only money, they'll go to VCs and raise money.

[Speaker 2] (41:37 - 41:39)

But he's talking about a professional angel.

[Speaker 4] (41:39 - 41:41)

But you're talking about the exception to the rule.

[Speaker 2] (41:41 - 41:44)

95% will be mediocre returns.

[Speaker 1] (41:44 - 41:44)

Yeah.

[Speaker 2] (41:45 - 41:49)

5% will do well. Of which I think 5% are legendary.

[Speaker 3] (41:50 - 41:57)

Correct. I mean, I would even go further to say if your objective is to make returns, you should not be an angel investor.

[Speaker 1] (41:57 - 42:14)

My perspective in all of this is to talk about making a return. This is not about learning about the ecosystem. You know, we all do that.

Like sometimes we play a certain game and lose a little bit of money. And then we say it's to learn about each other, team building, all of that, right? This is not one of those things.

[Speaker 3] (42:14 - 42:27)

Yeah, so I think if your objective is to make returns, being an angel investor, unless you really know what you're doing and you're deeply networked and you can add tremendous value is not a good idea.

[Speaker 1] (42:27 - 42:58)

But I'll qualify it, right? So because I don't want to make it look like angel investing in general. See, if you have a sectoral experience, right?

Let's say you are from the FMCG industry. You understand retail very well. You understand how brands work very well.

You've been in HUL for 15, 20 years, right? I think you will... No, no, 100%.

So I think it depends on who the angel is.

[Speaker 3] (42:58 - 42:59)

And then you have to add value.

[Speaker 1] (42:59 - 43:15)

I'm not saying that. If I'm Sachin Tendulkar, and I know I'm Sachin, I should be playing cricket and I would do very well. I'm saying if the city has 100 people as the population of the city, if all 100 play cricket, what are the odds of them doing well?

[Speaker 3] (43:15 - 43:36)

If you want to angel invest, right? And you want to do it for returns as opposed to giving back or you just want to get to know entrepreneurs, then I think to Prashant's point, you should really figure out how will you add value, right? So in the case that he mentioned, you know, you should be investing in consumer brands where you can add a lot of value over time your reputation builds.

[Speaker 1] (43:36 - 43:38)

Who are you adding value to? To the founder. To the founder.

[Speaker 3] (43:38 - 43:38)

To the company.

[Speaker 1] (43:39 - 43:52)

Because he gets early access and a kickstart, which otherwise for him is... I mean, he doesn't want to go to an institution fund like as day one, right?

[Speaker 3] (43:52 - 44:18)

Like when we invest in seed stage, right? We're always looking for a few angels who can add value to our companies. In fact, last week, we just invested in a consumer brand and we were looking for one or two angels who have experience in that sector who could, you know, who are not conflicted, who can add value.

So we will get two or three angels. And so that is where you want to be, right? Where you're those, you know, whatever.

Yeah, I agree.

[Speaker 1] (44:18 - 44:23)

When it comes to adding value, I agree. But blind capital...

[Speaker 2] (44:23 - 44:25)

Blind capital, I think... That's what we're talking about.

[Speaker 1] (44:25 - 44:29)

At least when the investment size is between one lakh to one crore kind of thing.

[Speaker 2] (44:29 - 44:52)

That said, they're very important for the ecosystem. 100%. They will take risks where institutions can't step in yet.

Somebody has to support these. Friends and family money runs out. First known as friends, family fools.

But basically that runs out. And it's even smaller in quantum. So if you want crazy risks, somebody has to take those risks.

And sometimes angels step in. Sorry, how big is the Indian angel market?

[Speaker 3] (44:52 - 44:53)

About 6,000 of them.

[Speaker 2] (44:53 - 44:54)

6,000?

[Speaker 3] (44:54 - 44:55)

6,000 active angel investors.

[Speaker 2] (44:55 - 45:00)

I've heard even more now. I've heard some shockingly large numbers. More like 25,000.

[Speaker 4] (45:00 - 45:24)

25,000? And the US you said is 300,000? 15 years ago.

15 years ago. We have 2008 data. And in the US, do you have to be like an accredited investor to be an angel investor?

Yeah, you don't. Two lakh is the angel fund route. I think you need to minimum invest two lakhs.

But you can get even a guy with 10,000 rupees on the cap table, I think. There is no such restriction. There's no restriction.

[Speaker 3] (45:26 - 45:46)

Okay, next. Venture capital. Yeah, so angel investors, you're investing your own capital.

In a very, very early stage company, usually you're just starting up, you pre-launch, whatever, right? Venture capital is basically institutional capital, where these are organized fund managers in a firm. So let's say Peak15 or Accel or Bloom.

Where you raise capital from others.

[Speaker 1] (45:46 - 45:50)

About what number would you start considering yourself a venture capital firm?

[Speaker 3] (45:50 - 46:08)

So I would say a growth fund would invest maybe up to 50 million. So from a few crores per investment, up through 50 million. So...

Fund size, you're saying 50 million? No, no, no. I'm talking about per investment.

No, I'm talking fund size. No, so fund sizes can vary from 20 million dollars to... I mean, our last set of funds were 2.85 billion.

[Speaker 1] (46:09 - 46:12)

20 million is the bottom level for 10 million? India, what is it?

[Speaker 2] (46:12 - 46:24)

So I think in India, now micro VCs are as small as 5 to 10. Okay. But that's because the first time manager is raising from individuals, not from institutions.

So it's actually raising a mega angel round and calling it a fund.

[Speaker 1] (46:25 - 46:27)

And is that through a Cat 1 or 2 AIF?

[Speaker 2] (46:27 - 46:29)

That's correct. Cat 1.

[Speaker 1] (46:29 - 46:30)

Cat 1 AIF.

[Speaker 3] (46:30 - 46:33)

So 100 crores. Like you have a lot of micro funds that started 100 crores.

[Speaker 1] (46:33 - 46:39)

Before we go into this a little bit deeper, what is the AIF? What is Cat 1, Cat 2, Cat 3? Who can take that like very quickly?

[Speaker 2] (46:39 - 47:18)

The government didn't know how to regulate all of this. So in 96, they started something called domestic venture capital fund regulations. Everybody was classified under that.

Whether you were private equity, real estate or venture capital. And they realized that that was a crappy way to deal with the complexity of these many asset classes. Because now you're asking us to break it down.

The government hadn't figured that they needed to be broken down. So 2012, they revised it and called these regulations AIF regulations, alternative investment fund regulations. So basically now they can regulate as a basis what kind of risk we take.

So Cat 1 cannot invest in certain securities like debt, et cetera, public markets. Cat 2 can. And Cat 3 is only public markets.

[Speaker 1] (47:18 - 47:19)

So who is typically which?

[Speaker 2] (47:20 - 47:22)

Venture capital is Cat 1 and 2. Private equity is Cat 2.

[Speaker 1] (47:23 - 47:24)

How do they decide between 1 and 2?

[Speaker 2] (47:24 - 47:39)

Basis what securities you can buy. So if you're only doing equity investing and you don't touch private equity investing and you do not touch the public markets and debt securities, then you can be a Cat 1.

[Speaker 3] (47:39 - 47:48)

Perfect. Back to venture capital. Yeah, so venture capital is, so think of it as this is institutional capital.

So it's organized teams. It's not an individual's capital.

[Speaker 1] (47:48 - 47:49)

So it could be as low as 5 to 10 million?

[Speaker 3] (47:50 - 48:52)

Yeah, so a small fund could be 100 crores. You know, large funds could be 25,000 crores, 30,000 crores, 50,000 crores. In the US, the large funds are, I mean, you know, the largest fund ever raised was the Vision Fund, which is $100 billion from SoftBank, right?

Although that was probably a hybrid venture plus group, you know, pseudo private equity. So the way, simplest way to think about it is, you know, venture capital is organized institutional capital that helps you get off the ground. So it could be the, for a now individual company, could be the two to three crores that you need to get your company off the ground to funding your next round.

So there's different stages, seed, we can get back to that seed, series A, series B, series C, up through a company that gets to a level of profitability. And then either, you know, there's a mixed term will be interchanged between growth capital and private equity. We'll take on from there.

But private equity really then is, once you're a established, mature company. So you're generating profits.

[Speaker 1] (48:53 - 48:58)

But venture capital in itself, can you give us some examples of five most popular ones in India?

[Speaker 3] (48:59 - 49:19)

So, I mean, you know, companies, there are probably 10, 15, very well established firms. So Bloom, companies that are sort of domestic. Axel Venture?

Yeah, we're all venture. So Axel, Peak 15, Lightspeed, Nexus, Elevation, Bloom, Chirate, Kalari, Matrix.

[Speaker 1] (49:19 - 49:25)

And would you like to say a little bit about the fee structure in venture capital and the life cycle of venture capital?

[Speaker 3] (49:26 - 49:30)

Most venture capital firms are 10 years with a two year extension.

[Speaker 1] (49:30 - 49:31)

Seven or 10?

[Speaker 3] (49:31 - 49:33)

It's 10. I mean, seven, I think is unusual.

[Speaker 1] (49:33 - 49:34)

Venture's no point going below 10.

[Speaker 3] (49:34 - 49:38)

It's very hard because, you know, that's why, right? Because you're funding companies before they launch.

[Speaker 1] (49:38 - 49:40)

In most cases, they have a two, three year extension option.

[Speaker 3] (49:40 - 49:59)

So think about a 10 plus, you have an extension period where you can extend the fund. The fees usually are 2% of the funds that you raise are used annually for management fees. That's what you use to pay your teams and so on and so forth.

And there's a term called carry, which is the percentage of the gains that the fund managers get to keep. And that's 20%.

[Speaker 1] (50:00 - 50:02)

Is that on closure or is that like?

[Speaker 3] (50:02 - 50:21)

That's on distribution. So basically you have to exit a company, right? So the way you can exit a company, there are three ways you can exit.

You can take a company public. You can sell to a strategic, right? So let's say Google comes and buys one of your companies.

Or a later stage fund can buy out your stake. So those are the three ways you can exit a position.

[Speaker 1] (50:22 - 50:28)

And would we largely say that Venture has returned a better return than Angel in the last decade?

[Speaker 3] (50:29 - 50:31)

I don't think we have data in India to show that.

[Speaker 4] (50:31 - 50:32)

But it's fair to assume.

[Speaker 3] (50:33 - 50:34)

Yeah, it's fair to assume. It's fair to assume.

[Speaker 4] (50:34 - 50:52)

When you said on distribution, you get a carry, what happens if you're, you know, you invested in 10 companies. You're sitting on nine. You don't know what the value is.

And on one, you had like a multi-bagger. Now you're distributing the profits of this. Can you take 20% of the profits?

[Speaker 2] (50:53 - 51:47)

It's classic, what's called European waterfall, American waterfall, right? So you don't get deal by deal. It's very rare.

That happens in very exclusive funds, which are doing large private equity, single transaction deals, where you can actually take carry by the deal. Here, you are not entitled to anything until you've returned, not just the capital that you invested in totality, but also the fees you consumed during that 10-year period. You return that too.

So basically, you take 100 bucks, you only get to invest about 80. The other 20 is going in all sorts of expenses. So you first return the 100.

And then there's usually a threshold IRR rate, which is compounding from day one. That for a fund like us, Emerging Manager, we have asked to give 8 to 10% as a threshold. We can catch up after that.

What it means is I'm not denied my share of those profits, but I have to first pay back that much to the investors. So 10 years down, I've returned 180 bucks. I have not seen a rupee.

[Speaker 3] (51:47 - 51:48)

Of carry.

[Speaker 2] (51:49 - 52:11)

Interesting. So to get 180 bucks off that 100, even if my top three companies get there, it's probably taking 10 years. And even after that, I'll probably be left with two, three stars.

And I still haven't seen a single rupee of carry. It takes that long. So incentives are aligned to kick your backside really hard, to work really hard to get to that point before you can actually see any money.

[Speaker 4] (52:12 - 52:17)

Got it. Now, the second question, you know, you had said dry powder earlier, right? As in the term was...

[Speaker 3] (52:18 - 52:19)

This is the term that's used earlier.

[Speaker 4] (52:20 - 52:34)

Now there's this whole debate running, right? As in how much of this dry powder do you have access to? I mean, how much is the money that's lying with you?

And how much is that you can call for? So if Sequoia, I mean, or Peak 15, you have $2 billion of dry powder.

[Speaker 3] (52:35 - 52:45)

Is that $2 billion sitting with Peak 15? No, it's committed. And you call for it.

You don't want to call it all and then invest over many years because it impacts your IRR.

[Speaker 2] (52:45 - 52:47)

The IRR counter starts the minute the money is filed in your account.

[Speaker 3] (52:47 - 52:48)

The minute the money gets you.

[Speaker 2] (52:48 - 52:55)

Oh, so you... Okay. So you never touch that money.

Right. Better stays there. But what if the person backs off?

[Speaker 3] (52:55 - 52:58)

So, Nitin, the institutional investors, once they commit, they don't...

[Speaker 2] (52:59 - 53:02)

Reputationally, they have a bigger reputation to protect than we do.

[Speaker 1] (53:02 - 53:18)

Another interesting question. How... What proportion of your limited partners, where venture capital is getting their money from, are institutions?

And what portion are family offices and stuff like that? See, in our case, it's like 90% is institutions.

[Speaker 3] (53:19 - 53:25)

Mostly? Ours is 100... We don't have any family office.

We don't have any HNIs. We don't have any corporates. I would say 50-50.

[Speaker 1] (53:26 - 53:29)

Why is that different? Because you're raising money from India and they're bringing from outside?

[Speaker 2] (53:31 - 53:33)

We're still not considered good enough for all those institutions.

[Speaker 1] (53:33 - 53:37)

So let's say, with scale, venture becomes more of an institutional thing.

[Speaker 2] (53:37 - 53:38)

Institutional, yeah.

[Speaker 1] (53:38 - 53:38)

You raise from institutions.

[Speaker 2] (53:38 - 53:52)

Yeah, because you can't raise that kind of capital from small investors. That said, I remember having a chat with Tiger as late as 2014-15. And they would still reserve a little for people who backed them in 1991.

[Speaker 1] (53:52 - 53:54)

No, they all have a small... Small corpus.

[Speaker 2] (53:54 - 53:58)

Makes sense. They say, you're a loyal investor, I'll give you the right to keep investing.

[Speaker 4] (53:58 - 54:05)

Makes sense. The fund cycle is 10-12 years. But most term sheets are typically 5-7 years, isn't it?

I think...

[Speaker 3] (54:05 - 54:09)

7 years. From an exit requirement? Yeah.

But nobody, we don't really exercise that.

[Speaker 4] (54:10 - 54:15)

But you will have some powers, right? Yeah, there is an opportunity to exercise.

[Speaker 3] (54:16 - 54:25)

But we don't. Because keep in mind, you know, this business is a power law business. What that means, you know, it's that few companies that really return.

And we all know that, you know, it takes... No, some companies will.

[Speaker 4] (54:25 - 54:26)

Right.

[Speaker 3] (54:26 - 54:42)

Like growth stage investors, right? So, if you're, let's say, investing 50 million. So, at peak 15, we have three teams.

We have a seed team, surge team, venture team and a growth team. So, the growth team can. So, you invest 30-40 million in a late stage company.

Two-three years later, the company goes public. So, within five years, you could exit.

[Speaker 2] (54:42 - 55:14)

I think there are two elements. I think entrepreneurs misunderstand VCs. Intent is, we'll never make money if we don't make money.

Okay? So, incentives are aligned. It's not like I can make the money, run out with the money and you're stuck there.

Right? Broadly, there is incentives to be aligned with you. So, nobody will kill a golden goose on a basis of a term that's written there.

However, you don't want to misalign incentives and say, Oh, you have 10 years. Number one. Because invariably, entrepreneurship is such a tough journey that if I say you have 10, you'll take 15.

[Speaker 4] (55:15 - 55:15)

Right.

[Speaker 2] (55:15 - 55:57)

That's point one. Point two is, you're underestimating the fact that my checks are written all the way from day zero to year five. So, I'm writing follow-on checks.

I'm writing fresh checks on the last day of year three. Right? And my term life is fixed.

So, I have to apply the same principle everywhere. So, the last check, just because it's the last check in the fund, I can't say, screw you, I'm going to give you seven years. But it's because you were the day one guy, I'll give you 10.

So, you establish a set of standards that work broadly amongst all of us. And so, Axel doesn't have a separate set of terms, and I do and vice versa. And it doesn't matter whether I'm the first year of the fund or the third year.

[Speaker 1] (55:57 - 55:59)

And that clock sometimes gets reset.

[Speaker 2] (56:00 - 56:01)

On the basis of a new round.

[Speaker 1] (56:01 - 56:06)

New rounds. So, it's really... And these are typically close-ended, right?

Venture capital funds?

[Speaker 2] (56:06 - 56:07)

Almost always.

[Speaker 1] (56:07 - 56:40)

Okay. P, would you like to take it? None of us are P here.

But, you know, just to take off from where Rajan was talking about, I think what late-stage venture and P, I think there are a lot of similarities between these two. But P funds are exclusively raised as P funds, right? So, and typically...

Sorry, what does P stand for? Private equity. And by the way, from a classification perspective, sometimes it's confusing because this entire class is called P.

Private equity.

[Speaker 5] (56:40 - 56:40)

Private equity.

[Speaker 1] (56:40 - 57:08)

We're in a spectrum of risk. For scale, is there a differentiation in scale between VC and P? I think it's less about scale.

I think it's about time to exit. They like to come in closer to when there is visibility to an IPO event two, three years or an exit event two, three years. I think their horizons and their windows of how

long they want to hold is very different.

Very different meaning significantly shorter than VC?

[Speaker 3] (57:08 - 57:10)

Much shorter. Much shorter. Because they're coming in later.

[Speaker 1] (57:11 - 57:20)

They're coming in later. Their expectation on the maturity of the model and this product market fit that he was talking about is much more than...

[Speaker 2] (57:20 - 57:21)

Night and day, yeah.

[Speaker 1] (57:21 - 57:27)

Yeah, so they really expect... So, you're saying P's are more conservative historically than VC's?

[Speaker 3] (57:27 - 57:29)

Correct. Because they also deploy more, invest more capital.

[Speaker 1] (57:29 - 58:04)

So, we had this number that VC AUM in India is 60-70 billion, of which 90% is foreign and 10% is domestic. The P number is about 200 billion, in which 85% is foreign and 15% is domestic. If you had to extrapolate and give a rate of return that P achieved versus VC achieved, who has done better in the last decade?

I think the P industry has been around for slightly longer, I think. Is that another way of saying they did better? I think because they've also been in multiple sectors, which are not tech only.

[Speaker 2] (58:04 - 58:10)

Top quartile, there might be some outstanding funds out there, which have done probably better in terms of cash returns.

[Speaker 1] (58:11 - 58:11)

Net, net.

[Speaker 2] (58:11 - 58:13)

Cash returns. They're ahead of us.

[Speaker 1] (58:13 - 58:20)

They're ahead. Yeah, in cash returns. It's also, I mean, from a vintage perspective, they've just been in the ecosystem longer.

[Speaker 2] (58:20 - 58:35)

They've had ups and downs. Post 2008, they were a terrible asset class. And then in the last decade, where we have been growing but not returning cash, because the exits haven't come.

A lot of people say that P has done most consistent. They've been more consistent.

[Speaker 1] (58:35 - 58:47)

Okay, source of capital, you said for VCs, it is 90% institution generally, 90 or higher. You're different because you're more domestic in nature. Where does P's source money come from?

[Speaker 2] (58:47 - 58:48)

Sources are pretty similar.

[Speaker 1] (58:48 - 58:50)

About the same. I mean, about the same institution.

[Speaker 2] (58:50 - 58:53)

Yeah, some domestic P's are over indexed on Indian family offices, etc.

[Speaker 1] (58:53 - 58:54)

Yeah, but a few.

[Speaker 2] (58:54 - 59:02)

But it's a little like the venture space. But if you go to a person who raises predominantly overseas, it will be entirely institutional. Because the cheque sizes are even bigger.

[Speaker 1] (59:03 - 59:12)

Popular P's, five. Which Indians have heard of? They would be, I would say, KKR, Kalayal, Paul Domestic.

[Speaker 2] (59:12 - 59:15)

Forget the overseas ones. Even in India, I think we have multiples.

[Speaker 1] (59:15 - 59:16)

Kedara.

[Speaker 2] (59:17 - 59:23)

Kedara, Chris Capital, have done exceptionally well. And then there are a lot of global names like them. KKR, Warburg.

[Speaker 1] (59:24 - 59:46)

I think we got a clear understanding of the difference between angel, VC, and P. Next step, establishing market size. A lot has been said about people having overestimated the size of different sectors in India.

Should we pick a sector each and try to establish what the actual size is? Would you like to go first?

[Speaker 4] (59:46 - 59:54)

You have a sector. Yeah, so. Why are you laughing?

No, because I've said so much about this. His favorite pet peeve.

[Speaker 1] (59:55 - 1:00:00)

What do you, okay. Can I ask you guys a question? When he keeps VC bashing online.

[Speaker 4] (1:00:00 - 1:00:06)

I don't VC bash, what do you say? What do you guys think when he did it? Do you think I've VC bashed?

No, no, I like his thinking.

[Speaker 1] (1:00:07 - 1:01:10)

No, I think he's, I mean, I can, he's overtly kind of being very myopic about a particular industry that he's involved with. And, you know, if you look at broadly other sectors, right, the same thing does not apply in many areas, but. Explain, like, you guys should have an argument about this.

So, for example, I mean, I think, I mean, let's take a consumer company. If you look at, you know, the opportunity to build a, and to me, a 2,000 to 2,500 crore kind of revenue in a consumer business with a bit of, somewhere in the 2,300 crore kind of range. 10%, yeah.

That's somewhere in that range. Consumer company, give us two, three examples. I mean, it

could be, it could be something like a company like Bluestone, right?

Which is in the jewellery business or, or Lenskart, right? Mammarth, any of these, right?

[Speaker 3] (1:01:11 - 1:01:11)

Vought, Noise.

[Speaker 1] (1:01:12 - 1:01:49)

How do these companies get scale in India? They are mass market, right? The consumers there in those, I mean, these companies have figured out in some way that their customers are not the 1% in urban India that are capable of, you know, doing these purchases, right?

So, they are, I would say, top 100 cities, right? And I, and this, I keep talking about everybody. Very few countries globally can give you 100 cities with a million plus in population.

All of them with a reasonable- Only two, by the way, China and India.

[Speaker 4] (1:01:49 - 1:01:53)

But I'm saying, how big is that consumer market?

[Speaker 1] (1:01:53 - 1:02:02)

I think we arrived at the number. So, 65% is consumption. No, 65% of our GDP is the consumption market.

[Speaker 2] (1:02:02 - 1:02:04)

So, it's about $1.7 trillion.

[Speaker 1] (1:02:04 - 1:02:34)

And in that, retail is about 700-800 billion. Let's just summarize all of that. 65% of GDP is consumption.

But in that consumption, part of it, you're producing the goods and part of it, you're retailing the goods, right? So, you can almost equally break up between what goes into retailing it and what goes into the supply chain of producing it. So, that's roughly about 800-800 crores.

800-800 billion.

[Speaker 2] (1:02:34 - 1:03:05)

So, the second level nuance there is, I feel, if I may add to what Prashant said, in India, discretionary versus sort of necessity-based consumption, I would index on necessity. That's

what he meant by mass. And it's interesting that he actually broke that up into the manufacturing side of the thing, which is where I think someone like a Lenskart, by the way they've approached the business, very unconventional, nobody's done it before them, actually doubled its market opportunity because I actually feel that's the right way to tackle India.

[Speaker 1] (1:03:05 - 1:03:35)

And you're saying for something like that, the market is not the top 2, 3, 4, 5 percent. It's much, much wider. And that aspirational class in India, I think is only going to, if we go from a 3 trillion to a 5 trillion.

Why? That trend seems to be holding true for everything. Like, we were talking to the Blue Stone guy, remember?

Like, when they were online, their sales were X. But when they realized they're doing a combination of online with offline, everything changed.

[Speaker 2] (1:03:35 - 1:03:41)

Trial, trust, access. So, all of that gets built by offline.

[Speaker 1] (1:03:41 - 1:03:45)

But that pattern is not necessarily true in America, but it is in India. Why is that?

[Speaker 2] (1:03:45 - 1:03:47)

It is. Like, Bobby Parker has stores now.

[Speaker 1] (1:03:47 - 1:04:22)

Businesses were built, I mean, just online itself, in that market, consumer market was big enough that you can just build a large business. Like I said, I mean, I came up with this 2,000 crore thing, right? But whatever the equivalent, like 2, 300 million dollar revenue in the US, you can build purely online.

But in India, it looks like you have to go also offline. So, what we're saying to our audience who's trying to start a business, is the odds of you reaching scale are significantly higher if you combine an online and offline component.

[Speaker 2] (1:04:23 - 1:04:34)

No, there's variants too. So, what I'm trying to say is, Purple is one of us. So, they started as a marketplace, eventually realized that if they don't build margin by launching their own brands, it's not a great business.

[Speaker 1] (1:04:34 - 1:04:35)

Does Purple have offline like Nika does?

[Speaker 2] (1:04:36 - 1:04:37)

Not yet, but getting there.

[Speaker 1] (1:04:37 - 1:04:39)

So, what I'm saying...

[Speaker 2] (1:04:39 - 1:04:39)

The three, four levers.

[Speaker 1] (1:04:40 - 1:04:40)

Same thing.

[Speaker 2] (1:04:40 - 1:04:41)

You have to manufacture your own stuff.

[Speaker 1] (1:04:41 - 1:04:52)

So, for somebody building in consumption, having an online with the offline can have exponential scale.

[Speaker 3] (1:04:52 - 1:06:43)

Yeah, I mean, you can start online, but basically, if you go back three, four years ago, you could get to a 300... Let's just talk about consumer product brands, okay? Because that's like the specific segment, right?

You could get to about 300 crores online, and then you went offline. So, Mama Earth, from launch to 1,000 crores took five years, and in seven years is 2,000 crores and profitable, okay? So, basically, that's just in personal care and beauty.

And then there are probably now over 10 examples of multi-thousand crore brands that have been built between five and seven years, right? That was not possible. Now, three years ago, you could get to 300 crores offline, online, and then you went offline.

Today, that number is more like 50 to 100 crores, for two reasons. One, online has gotten more expensive as more and more brands have come up online, so cost of acquisition is higher. And second, though, offline, much like Amazon, Flipkart, and Nika, Nika and Beauty, democratize

distribution online for e-commerce, for brands, we are now seeing the same kind of democratization of offline, right?

Offline retail distribution was the purview of HUL and Maricoin Food and P&G and so on and so forth, right? But thanks to some of the B2B platforms that are being built, for a new brand to get access to offline retail is not as hard as it used to be, right? So, now what we're seeing is companies will get to 50 to 100 crores online only.

They will launch their own website, they'll go on Amazon, Flipkart, depending if it's a beauty brand or Nika, et cetera. And then once in that 50 to 100 crores, they'll go offline. And what they're seeing offline is almost always, it's more profitable because it is harder to do because you could also, you know, you have to deal with inventory and so on and so forth.

But that's the new model that we're seeing. So, you launch a brand, you go online first, get to 50 to 100 crores, somewhere in that zone, maybe 150 crores, you go offline and then you scale both online and offline and you get to 1,000, 2,000 crores.

[Speaker 1] (1:06:43 - 1:07:15)

So, digital first is still something I'd like to emphasize, right? Because, you know, I don't think people, I mean, who's starting up new should lose that. Your ability to trial with customers, your ability to give them new behaviors that kind of help them change their consumer consumption habits.

In a way, are you saying you discover the brand always online? That's right. The execution and distribution could be a combination.

Typically, it's online first, followed by offline. And when they come together, it scales exponentially faster.

[Speaker 3] (1:07:15 - 1:07:43)

I think the most important thing, though, is more than omni-channel, which is online, offline, is called omni-channel. You have to have a unique insight about what customers want. Like, you know, both of you had this insight about trading because you were traders yourselves, right?

So, I think the most important thing, if you're going to start up, is you have to have a unique insight about what customers want. Could be consumers, could be businesses.

[Speaker 1] (1:07:43 - 1:08:09)

No, but there is a small, like, extension so that we just complete this whole, since we picked up, I think Karthik started alluding to that, right? So, I think where you can also kind of take this, the margin profile and your ability to make profits further is if you can get into your own

manufacturing. So, you're saying marketplace, building a platform or a marketplace is not...

Not anymore, that's gone.

[Speaker 3] (1:08:09 - 1:08:15)

No, not anymore, I think it's over. I do think vertical marketplaces, there's still potential. But there also, Rajan, I think...

[Speaker 1] (1:08:15 - 1:08:23)

No, that's where Purple started, but you have to evolve. In these vertical marketplaces today, you've got to be a lot more focused on the value add.

[Speaker 2] (1:08:23 - 1:08:24)

Yeah, I agree, definitely.

[Speaker 1] (1:08:24 - 1:08:25)

There was a time when...

[Speaker 5] (1:08:25 - 1:08:27)

Yeah, you could just buy the proprietary product.

[Speaker 1] (1:08:27 - 1:09:50)

Is it also triggered by ONDC? No, not really. I think it is just triggered by now this realization that just GMV does not work.

But wouldn't ONDC reduce the cost of getting distribution? Like, if I were a Misho and I went to every mom and pop shop, got them on board my platform by spending that money, meeting them and doing it. If ONDC allows for that mom and pop shop to be discovered by you, who is also a platform, doesn't the USP in that go away organically?

See, ONDC as a platform, I think when you look at the sectors that have not been served, whether it's your like end kiranas, where today there is no legitimate way in which a kirana can be discovered. I mean, ONDC and these Paytm, all these guys are discovering them very fast. No, no, no, that's what I'm saying.

So I'm coming there. So I'm saying, if you're already on a swiggy or a zamato kind of platform as a restaurant, I think there will be a little bit of a time in my mind for somebody to find value in. But even when they do, for the platform, having discovered them will get devalued because of ONDC, if not today, at some point in the future.

[Speaker 3] (1:09:50 - 1:10:15)

I mean, I do think over the next, maybe not in the near term, but over the medium term, ONDC will have a significant impact, but it's going to start with mobility. I think the most interesting example is Namayatri, which has now just crossed 80,000 rides a day, which is quite remarkable, actually. Right?

So I do think mobility is going to get disrupted first, right? For different reasons. I mean, you know, three wheelers for different reasons, for two wheelers and so on.

I think after that might be food delivery.

[Speaker 1] (1:10:15 - 1:10:19)

And I think it's already happening. I'm using that app, MagicPin. They charge 5%...

[Speaker 3] (1:10:19 - 1:10:23)

That's what I'm saying. By the way, what is happening in food, I think, Prashant, is the commissions.

[Speaker 1] (1:10:24 - 1:10:53)

But these guys, MagicPin, which is the ONDC app, is also aggregating delivery agents. So that's what I'm saying. The effort put in by a swiggy and zamato to find a restaurant, get them tech enabled, adopt them on their platform, they've done all that.

But if the restaurant tomorrow realizes that they can sell through another means, a fraction of the cost, my question was, is that why also you're saying the platform plays, not the play in the near future?

[Speaker 2] (1:10:54 - 1:11:13)

They can only be like two, three winners in that space at most. I think it's a duopoly play, the way I see it usually. And even in the early days of marketplaces, we saw that devolve very quickly into duopoly.

Becomes a deep pocketed game, and all of us just show our cards eventually and surrender to one, the biggest player.

[Speaker 1] (1:11:13 - 1:11:21)

As investors, if you could put money today in flip cards, swiggy, zamato, miso, would you? Nika, add all of them.

[Speaker 2] (1:11:21 - 1:11:25)

It's still a dominant marketplace. Would you put money in there? Depends on what price.

[Speaker 1] (1:11:25 - 1:11:25)

Today's price?

[Speaker 2] (1:11:25 - 1:11:27)

I'm not that, I wouldn't know. I don't know the numbers.

[Speaker 1] (1:11:29 - 1:12:42)

I'll tell you the numbers. Nika, for example, four or five thousand crores, top line, five percent margin, slightly flattish to negative bottom line. Trading at 35, 40,000 crore market cap.

The question is not fixated upon Nika, but the question is more, you as savvy investors, who are sounding increasingly critical about marketplace platform businesses. Hey, no, no, no, no, no, no. I don't think we are critical about marketplace platforms.

You're saying uniqueness has to be built in and a platform by itself, by definition is not unique. Exactly. I think the value add on the platform, the bar for that has significantly increased.

But if you had to pick between a very binary myopic choice, if you had to pick between a company which is building a platform or a marketplace versus a company with backward integration, where you're building their own brands. Yeah, yeah. So I think managed, full stack marketplaces, I think are.

But that covers everything. See, I'm looking for somebody who's watching this to figure out where they should spend time, effort and money.

[Speaker 3] (1:12:43 - 1:12:43)

Building what?

[Speaker 1] (1:12:43 - 1:14:22)

So then you don't have to have a marketplace in many cases. That number 65 percent consumption, 63 percent. Yes.

Does it include export? No, that does not. That's domestic consumption.

That's domestic consumption. But in this new world order, right, where supply chains are for resilience, for whatever other reasons, are getting diversified. I think the next huge opportunity for Indian entrepreneurs is to take the export market from 700 or 800 billion that it is today to one,

one and a half trillion, right?

Another question here. Let's assume most countries which have done well in manufacturing, not just now, but historically, have done it by virtue of closing their market off for a short period of time from outside competition and letting homegrown stuff improve in quality scale to a certain point. Like there's a lot of precedent for this, right?

Like industrial revolution which happened in Birmingham many, many years ago. The environment for that was created by the UK shutting down and not allowing foreign goods in. One can also agree that China did the same and they didn't allow Western goods in, shut the economy off to foreign produce and then the domestic economy thrived.

Do you think India should go down that direction where to get better at solar cells, for example, we should stop importing cells or impose significantly higher duty to make Indian product more artificially more competitive? Is that the way to increase manufacturing prowess?

[Speaker 3] (1:14:22 - 1:14:24)

We've already started doing that, right?

[Speaker 1] (1:14:24 - 1:14:25)

Going down that path?

[Speaker 3] (1:14:25 - 1:14:43)

Like for instance, let's take electronics manufacturing. Less than 5% of electronics sold in India were assembled here, okay? So you start with assembly, then you have to make components and so on and so forth, right?

That number is now, I don't know what the latest number is, but it's well north of 70% of electronics, consumer electronics, okay?

[Speaker 1] (1:14:43 - 1:14:47)

But none of the IP is being captured. None of the value in that cycle is being captured.

[Speaker 3] (1:14:47 - 1:14:52)

But that's a matter of time. First you have to start assembly, then you start components and so on and so forth, right?

[Speaker 1] (1:14:52 - 1:15:09)

But do you think the broader question is, is India, we've all established, we need more manufacturing prowess, we need to capture more of the value and IP in India. Yes. Is India doing

the right thing by imposing duties and PLI and all of that?

Which I think it is.

[Speaker 3] (1:15:09 - 1:15:45)

In strategic sectors for limited periods of time, it is working. It's not, is it the right thing or not? It's beginning to work.

We should continue down this path and you will see, you know, like it's very interesting. I was talking to the boat team, you know, they make the, you know, it's four, five, four thousand plus crores now of revenue. So they used to not, they used to design here and then get everything made in China.

Now I think it's like 30, 40, I can't remember the latest number, but 30, 40 percent in 18 months. Yeah. Is now, actually they're now the second largest headset accessories company in the world.

[Speaker 1] (1:15:46 - 1:16:24)

I think one of the really cool definitions for patriotism in my mind, like I don't think we have exercised this in the manner that many Western, like the U.S. for example, has. Yeah, they have a very different passion for product. They sell it so much.

I feel like for everybody watching, right? Like if you have product A, product B, product B is India made, product A is China made. Even if product B is five percent inferior, I think the biggest act of patriotism in a modern capitalistic world today is picking product B or product A.

[Speaker 3] (1:16:24 - 1:16:30)

I think that's a really bad strategy. You want to win on the best product. Bought is number one in their category.

[Speaker 1] (1:16:30 - 1:16:32)

But then we're also saying duties are good and PLI is good.

[Speaker 3] (1:16:33 - 1:16:52)

No, no, so basically look, the duties are like if you don't, see the duty is to get companies to manufacture here, right? The PLI, if you look at who can benefit from PLI, anybody who wants to come and manufacture here can benefit from PLI, right? Of course, some countries in the world are possibly not included in that list, but by and large, you know, you can, right?

So, this idea of best product.

[Speaker 1] (1:16:52 - 1:16:55)

Why is it not a bad thing? No, but I think… Buy American products first.

[Speaker 3] (1:16:55 - 1:17:02)

No, but Americans don't buy, look at the toy industry, a hundred billion dollars worth of Chinese toys. American consumers buy every hundred billion.

[Speaker 1] (1:17:02 - 1:17:08)

This notion is very, very well sold in America. Like, you know, bring jobs back, buy American products first.

[Speaker 3] (1:17:08 - 1:17:15)

No, but American consumers walking into Walmart, you think they're really looking for American made in America tags? No, they're buying the most affordable products.

[Speaker 1] (1:17:15 - 1:17:16)

You think Chinese are?

[Speaker 3] (1:17:16 - 1:17:21)

I don't think so. I think consumers around the world want to buy the best products that are the best value for money.

[Speaker 1] (1:17:21 - 1:17:34)

I'll tell you my example, like when there used to be Flipkart and Amazon, I'm not talking in the Walmart era Flipkart. I would subconsciously pick Flipkart over Amazon every time. I don't know if many other people did, but…

[Speaker 3] (1:17:34 - 1:17:55)

No, you know, they could, but I think what we have shown now, like if you look at a company like Boat, right? Boat went up against all the Chinese accessories companies, and won in India, not because of patriotism, not because of price, because they had better product. And I think that's really important, right?

[Speaker 1] (1:17:55 - 1:18:12)

But there is something to be said about Indians slightly favoring Indian owned, Indian funded, Indian made products, because that tiny differentiation, I think will take our manufacturing and our products a long way forward.

[Speaker 3] (1:18:12 - 1:18:35)

What is happening, Nikhil, is Indian entrepreneurs have a much better pulse of what Indian consumers want. So I think what we're seeing, which is very, very interesting, is the Indian brands that are winning in India truly have better product. And I think that is what you want, right?

Because first we'll build better products. So let's take a company like…

[Speaker 1] (1:18:35 - 1:19:00)

I totally agree with you. But I think there is also something to be said about it. It's hard to build a better product and compete in an open marketplace.

If, say, for example, I'm just using China, I have nothing against them. If they've been building solar cells for 30 years and are manufacturing 50 million quantity, practically, it is quite hard for a factory in India manufacturing their first 10,000.

[Speaker 3] (1:19:00 - 1:19:03)

So you do need the PLI. That's right.

[Speaker 1] (1:19:03 - 1:19:04)

Because of that, I said…

[Speaker 3] (1:19:04 - 1:19:05)

That is super critical, that is super critical.

[Speaker 1] (1:19:06 - 1:19:19)

And all these countries do that all the time. So I think we are stupid if we don't do that. But when I'm saying Indian consumer favors Indian product by virtue of patriotism, that might be my euphemism for something else.

Why is that wrong?

[Speaker 3] (1:19:19 - 1:20:37)

No, no, it can be wrong. I don't think that is… So the question is, if you take a look at Indian brands, right?

Indian brands that are winning. And you ask the question, why are they winning? They're not winning because Indian consumers are picking an Indian brand.

I mean, I've seen this time and again, right? Indian consumers will pick the best product at the

right price value prop range, right? So, and I think what our entrepreneurs are getting better and better every single month, every single year is innovating for India.

I know there's a school of thought that you should build for the top 10 million or the top 20 million. I think that is not… As an entrepreneur, you should not aim for that.

You know, think about it, right? We have the most advanced mobile internet ecosystem in the world that consumes three times as much data as China does. China has a billion internet users.

Why? Because one company called Reliance fundamentally disrupted the cost of 4G access, 3G access and now 4G access, right? The game, I think, in India is to build for India.

But you have to hit the right product price point. Yeah, exactly, right? I think as an ecosystem, we've been very focused on the top 10 million or the top 30 or 40 million.

Yeah, yeah, sure. Yes, there is a business to be built.

[Speaker 1] (1:20:37 - 1:20:44)

Another great statistic is about 560 million people in India have access to a TV set.

[Speaker 3] (1:20:44 - 1:20:46)

Yeah, 400 million Indians now pay with UPI.

[Speaker 1] (1:20:47 - 1:20:54)

And that TV set is soon becoming a medium like a mobile device because TVs are getting smarter. Like the next generation of TVs…

[Speaker 3] (1:20:54 - 1:20:59)

25% of YouTube consumption in India is now on television. Yeah. Because it's two-way TV.

[Speaker 1] (1:21:00 - 1:24:06)

And, you know, two other examples, maybe slightly, I'm just switching back to B2B. Most Indian supply chains are starting to really work more efficiently. And we're able to compete because of two reasons.

One, a lot of digital infrastructure got built within the country, right? Whether it is… And formalization of the economy through GST and, you know, the ability to build more efficient warehousing.

All of that would mean that if you're supplying product now from India, right? Because everybody in the digital chain is mobile, right? Your level of efficiency in your supply chain in India is on par

or better than any other country globally.

So I think that's a unique opportunity which we have been waiting for the longest time, right? See, if you look at manufacturing as a sector, 35 to 40 years, nothing really has happened in this country. But now with the digitization of the supply chain, the ability for global demand to digitally access Indian product and Indian pricing on Indian product, and the sensibilities in the Indian entrepreneur to build for quality, it's no longer about what the Indian consumer wants.

I'm saying the game has changed and has to change to the next level in India. We are not going to become a $10 trillion economy by supplying better products to Indians. That has its place, right?

We will have to, and this is where I agree with Rajan in terms of the quality benchmarking, that we need to be able to build best product globally. And to be able to build best product globally, I think partnerships are also very important. I think we cannot get also closed.

If you're not getting that technology from China, we need to figure another place to get the technology from, right? So we have to build world-class product from India. That whole China plus one diversification, take advantage of that in the next two to three years.

And a lot of entrepreneurship, I think, has to be built there. I agree. I think in competition, one unique thing that is happening in India right now, I think the fact that we have stable governance and stable policymaking for as long as we have had it, I feel like that in itself has made India so unique to take advantage of the China plus one opportunity because you look at everything around us.

No, but Nikhil, let's add these two. The digitized supply chain and the compute power, real-time compute power across the supply chain with every individual, right? And corporate taxes, which are globally benchmarkable, all of them done by the Modi government in the last few years.

[Speaker 4] (1:24:06 - 1:24:35)

I think one of the reasons why Indians are putting global world-class products is the money all the VCs have brought into the country, right? I mean, it's just crazy because I remember in 2010 when we first started Zerodha, you know, went around finding website designers. And just that, you know, I'm just saying, just that one small bit, right?

The quality that has gone up is just immense. And I don't think that would have happened if not for all the money you guys have put in the country.

[Speaker 3] (1:24:36 - 1:24:49)

I think it's a combination of, you know, it's a good point. You know, it's a combination of capital, but it's also, you know, like one very interesting thing we should talk about. The smartest Indians

are not leaving India in droves.

[Speaker 1] (1:24:50 - 1:24:51)

And they're coming back.

[Speaker 3] (1:24:51 - 1:24:53)

And they're coming back. So many are coming back. They're coming back.

[Speaker 1] (1:24:53 - 1:25:32)

You know what, we see that in a certain way, because 90% of the money coming in is external. You're like marketing agents for India. You're going out in the US.

You're pitching to people to put money into India and you're bringing money back. No, and we're pitching both, right? We're pitching the India opportunity, which is the macro and all of that, the stable government.

But more, I think, the capability of the Indian entrepreneur, I think, is so recognized globally. I think that is bringing half the money. I think the Sundar Pichai's and Satya's, I think they're, I think they're big, big.

[Speaker 3] (1:25:32 - 1:25:37)

Also like 30% or whatever, 25-30% of Silicon Valley founders are basically first generation Indians.

[Speaker 1] (1:25:38 - 1:25:40)

So to close the market size...

[Speaker 3] (1:25:40 - 1:25:44)

No, but market, we should talk about the export. We've only talked about the MSD, you've talked a little bit about exports.

[Speaker 1] (1:25:44 - 1:25:55)

We've said 63% is consumption focused. Yeah. That does not include export.

That 63% is about 1.7, 1.8 trillion dollars.

[Speaker 5] (1:25:56 - 1:25:56)

Yes.

[Speaker 1] (1:25:57 - 1:26:03)

Outside of consumption, which we spoke so much about, what is the balance 37%? Exports is a huge thing.

[Speaker 3] (1:26:04 - 1:27:35)

So actually, if you look at, so if you're an entrepreneur looking to start up, right? Again, start with something, you know, something about, you have unique insights. But building for the world now is a very real thing, right?

So if you look at new seed-funded startups in India in 2022 calendar, last year, and this is seed funding, we've defined as between 5 crores and 40 crores raised per company, right? So companies that have raised between 5 crores and 40 crores, so between half a million, so 4 crores, half a million dollars to 5 million. Just call that seed, large seed round, somewhat average seed round.

40% of all Indian startups that raised seed funding last year, in that definition, were building for the world from day zero. Most of those were building software products, vertical SaaS, application SaaS, modern data stack, cybersecurity, infrastructure companies, increased now, now we're seeing a new crop of AI companies, right? So I think that is the first, so in many ways, right?

If you look at exports from a technology-enabled standpoint, the first big wave was IT services. That's now a $250 billion industry. Software products is the next big wave.

And now we are going to see, coming after that would be the manufacturing wave. Consumer brands, right? So you're seeing toy brands.

There's this company, we are not investors in it. It's called Ayurveda Experience in Delhi. They make Ayurveda products and sell them in the US.

They don't even sell in marketplaces, just cost $50 million revenue.

[Speaker 1] (1:27:35 - 1:28:07)

Can I digress and ask one question? So trends of VC money this year have been slowing down of investment in gaming, consumer tech, ed tech, e-commerce, lesser money is coming in. Crypto, SaaS and fintech are flat.

The highest investments or the rate of growth is coming in retail consumption, energy and EVs. Why that trend? And if that is the trend, what is the opportunity for somebody building a business today?

[Speaker 2] (1:28:07 - 1:28:15)

So I have a controversial view on this. Honestly, I think as an entrepreneur, you shouldn't care one, two hoots about what you just read out.

[Speaker 1] (1:28:15 - 1:28:21)

But if you're entering an industry which is being funded or the rate of funding is going up, isn't that a tailwind?

[Speaker 2] (1:28:21 - 1:28:24)

Terrible way to think about business opportunities as an entrepreneur.

[Speaker 3] (1:28:24 - 1:28:26)

Yeah, what will happen is by the time you have to raise your round.

[Speaker 2] (1:28:26 - 1:29:27)

Okay, let me gloat a little bit about my skill, I think. I'm looking 10 years out. I want to see what's a billion dollar opportunity 10 years from now.

If I'm a good VC and my counterpart should be a good entrepreneur who's also thinking that way. We're not building for one year, two years. These are all cyclical.

You'll have a short term cycle. You'll have a medium term cycle. How do I care what's hot?

I need to find five intelligent people who believe, agree with my point of view. And he just said gaming is down. He says he made five investments this year.

So he's bullish. Right. Go find him.

Right. If you are bullish on gaming. So actually, the point was not that, Nikhil.

So I didn't mean to come across rude. But the point is, if the entrepreneur is building into a market trend, it's a very, I'm going to be rude to the entrepreneur. It's a very 80s style of building.

You're trying to go where the money is. You're trying to go where the opportunity is. What is your advantage?

What is your distinctive advantage? And what is your passion about building into that space?

[Speaker 1] (1:29:28 - 1:31:02)

So actually, I have an, I mean, I partly agree that you shouldn't kind of go after a market that's currently being touted as the next big thing. I think that's the wrong thing. But I think entrepreneurs should have a macro global view.

Sure. And a macro country view on where things are going. Just to kind of talk about a sector we have not spoken so much about, climate tech, right?

You know, I think there is global shifts in multiple ways. That being more an NGO funded space now to where VCs are really looking at climate. Are you talking about geoengineering?

Multiple aspects of it. I mean, because you spoke EV. I didn't want to specifically EV, specifically new materials.

I think there are a bunch of opportunities in climate tech going beyond just the energy, just kind of the stuff that you spoke about. And if I were an entrepreneur today, I would look at, you know, where are the climate tech opportunities and the related stuff, right? 10 years down the road, like he was talking about.

Energy, EV or aspects of it might be already played out for somebody starting out today. So I'm not trying to get specific here. I'm trying to figure out what can we tell people if they work in those sectors in the next 10 years, their odds of getting lucky are slightly higher.

[Speaker 2] (1:31:02 - 1:31:08)

So I'm saying the annual trends which generally reporters tend to write about was way too short term is my only point.

[Speaker 1] (1:31:08 - 1:31:11)

Agreed. But what are those trends that you are bullish about in the next 10 years?

[Speaker 2] (1:31:11 - 1:31:14)

I think a lot of the stuff that Rajan and Prashant spoke about.

[Speaker 1] (1:31:14 - 1:31:14)

Consumption?

[Speaker 2] (1:31:14 - 1:31:19)

I would say consumption also… Global consumption, right? Global consumption.

[Speaker 1] (1:31:19 - 1:31:21)

So basically… I think it's a huge opportunity.

[Speaker 2] (1:31:21 - 1:33:13)

To take off from where Rajan put the number, we've been at that 40% number for 12 years now.

We've always had companies and we put it on our deck that this is the India opportunity. Don't come to India trying to buy India consumption.

It's a terrible story to sell. What we are is very good at building world-class products. And 40% of our portfolio will be built for the globe.

Right? So if you… And for that, like Rajan said, you've got to be world-class from day one.

There's no time to catch up. Some Israeli company or some Singaporean company will beat your backside. Right.

So if you… Therefore, you've got to be supreme in like, you know, software engineering skills or understanding an enterprise product need or a developer tool need or a robotic product or printing 3D artificial livers or whatever it may be. But you've got to be world-class.

There's no leeway for like saying, I'll catch up in five years. In venture, it's different when you're doing solar cell production with PLIs. In venture, there is no leeway, right?

So we would love to see, and this is where I think we're beginning to touch the, you know, tip of the iceberg. We were at Freshworks, one unicorn in SaaS in 15 or 16. Now we have about 15 to 20 of them.

I think the first ones will happen in deep tech slash manufacturing, not of the consumption variety, of really cool deep tech, like, you know, autonomous robots and, you know, EV components and things like that, where we can build global companies. And when that happens is when the ecosystem breaks out big time. Because you need poster children.

You simply can't sit here and say, let's do it. And by the way, we're all guilty of this. We're also looking for patterns.

You're saying, dude, nobody has done this. How do you think you're going to be the first guy ever to do this, right? And so some entrepreneur fights all traditional...

[Speaker 4] (1:33:13 - 1:33:27)

Yeah, so that's really, that's a question I had for all of you, actually. Like, how do you not get sucked into this? How do you...

Because it's really hard to figure out what will click in 10 years from now, right? I mean, it's a...

[Speaker 1] (1:33:27 - 1:33:51)

No, I think that's where I'll admit a little bit. And I don't know, Karthik has to agree to this, because I think you also need to know what currently the ecosystem broadly wants to invest in. Because companies can't raise money, Karthik.

Fair point. Right?

[Speaker 4] (1:33:51 - 1:33:53)

So they have to survive the 10 years.

[Speaker 1] (1:33:53 - 1:34:05)

They have to survive, right? They survive the 10 years. So directionally, they should be in a space that is going to help them raise capital.

So that's important. So you can't, I mean, you can't be in IC engines and...

[Speaker 2] (1:34:05 - 1:34:51)

So when we drew up the map in our evaluation matrix, it was an adaptation of what Mark Anderson drew up in 2006. In fact, it's a public blog. I think I did it for fun, too.

2014. We basically understood that you can't get seduced by ideas and trends. And essentially, if you had to put a weightage, we essentially internally assign 40-40-20.

And our evaluation forms actually make us comment on that. 40 is market opportunity. What's the house view on whether you actually believe this market's going to bake out big?

Right? Entrepreneur can't be educating you. You have to have a house view.

The second is, do you think this kid, this girl, with their team can actually build a billion-dollar business?

[Speaker 4] (1:34:51 - 1:34:53)

That's the next 40, is it?

[Speaker 2] (1:34:53 - 1:34:59)

Yeah. I don't see how that can be substituted by, let's hire a CEO.

[Speaker 4] (1:35:00 - 1:35:00)

Right.

[Speaker 2] (1:35:00 - 1:35:22)

Not in the venture journey. Private equity is all cool because you're already making profits. You're stable.

The last 20 to Prashant's point is capital markets. Are you like totally against the trend in terms of

what might get picked up? And we paid the price.

That's why we've learned. You try and do cool, deep tech stuff in 2011. Nothing moved for five years.

[Speaker 1] (1:35:22 - 1:35:45)

Can I put you guys on the spot? Just because this will help some people and make you, without explanation, pick one sector. If somebody's building, removing all passion, all of that outside, one sector that you think will grow at a pace faster than others for the next 10 years.

We can start with Nitin.

[Speaker 4] (1:35:47 - 1:35:51)

I think the first trillionaire on this planet will be someone solving for climate problem.

[Speaker 3] (1:35:53 - 1:35:58)

Okay. He's getting close. He's got another 800 billion to go.

[Speaker 4] (1:36:00 - 1:36:25)

The speed at which climate change is affecting our lives, right? As in, eventually when push comes to shove, you know, like how COVID resulted in so many billionaires out there who are making vaccines, you know, people who are solving for some of these problems. How?

Anything, I mean, like any climate intervention types, as in, say, for example, including alarmists doing electric cars.

[Speaker 1] (1:36:25 - 1:36:28)

You mean things like EVs, energy transition?

[Speaker 4] (1:36:29 - 1:36:36)

Yeah, plant-based foods. I mean, like I said, it's very early for plant-based food, but solar, like anything that is, you know, that will... Thoughts?

[Speaker 1] (1:36:38 - 1:37:54)

I'll kind of chime in there. Big proponent of climate. I think we are, if you look 10 years ahead, right, there are two trends.

I think one is health and how much disruption we will see in what I call as upstream medicine. What is upstream medicine? Upstream medicine is that really every disease that you ultimately

see, right, as a manifestation has started 20 years before, in some form.

And today we don't have the diagnostics or we don't feel it and doctors can't kind of detect it. So you only detect it at the end, right? So what medicine 3.0 will be, and maybe we are still not seeing a lot of that in India, but I think we are at the cusp of being able to look at so much data upstream that you will be able to start one's journey in not getting into that situation 20, 30 years later, right, today, at when you're 35. You know what the funny thing is so far? Yeah. You remember those sectors where I said funding is increasing?

Both of you have just spoken about that.

[Speaker 4] (1:37:54 - 1:37:56)

Yeah, no, because I think this is…

[Speaker 1] (1:37:56 - 1:38:00)

Energy, EV, health. Yeah, I think these are…

[Speaker 4] (1:38:00 - 1:38:01)

It's the current trend.

[Speaker 1] (1:38:01 - 1:38:56)

But the thing is to do what, I mean, what's your thesis there? Like you said, you know, it's a broad space, right? But what do you do there?

There'll be a timing for all of this. Correct. So for example, right, sustainability and materials around sustainability is a huge opportunity globally.

Recycling has not worked. So you can't use garbage material first rather than later figuring out how to segregate garbage. So there is a unique opportunity for India here.

We have one of the largest agri-produce that either gets burnt or that just goes totally waste, right? One of the largest producers of bamboo globally, right? But what is the share that we have of any kind of sustainable material that gets put out?

0.001 percent. But there's a golden opportunity that is there right now.

[Speaker 4] (1:38:56 - 1:38:57)

Actually, let me add…

[Speaker 1] (1:38:57 - 1:39:04)

US, no, no, US just introduced a 25 percent tariff for all sustainable material from China.

[Speaker 3] (1:39:05 - 1:39:05)

Right.

[Speaker 1] (1:39:06 - 1:39:07)

This is, this is a reverse…

[Speaker 3] (1:39:07 - 1:39:10)

All material? Yeah. Not sustainable material?

No, no, sustainable.

[Speaker 1] (1:39:10 - 1:39:13)

I mean, if you get bamboo stuff from China…

[Speaker 3] (1:39:13 - 1:39:14)

From China, it's 25 percent tariff.

[Speaker 1] (1:39:14 - 1:39:22)

25 percent. India is zero. And I'm saying this is like golden.

So I'm saying, I'm so excited about this. No, no, no.

[Speaker 3] (1:39:22 - 1:39:23)

Because it's like, you know… You're building a bamboo.

[Speaker 1] (1:39:24 - 1:39:26)

Go and grow bamboo and pitch to Pushpam.

[Speaker 3] (1:39:26 - 1:39:28)

No, no, I mean, okay. No, but by the way, it's probably a good idea.

[Speaker 1] (1:39:28 - 1:39:37)

There's a company like EcoSol. Huh? EcoSol in our portfolio.

That's just, it's gone from 1 to 10 million US domestic brand in 18 months.

[Speaker 4] (1:39:37 - 1:39:54)

Okay, like hemp, for example, right? We've been researching on hemp quite a bit. It's just ridiculous how good that plant is.

You know, it's like a coconut tree. You know, every, it fixes nitrogen. You can consume, you can, I mean when I say consume, you know seeds, when I say hemp…

Not, not, not…

[Speaker 1] (1:39:54 - 1:39:56)

No, but… I know hemp, yeah.

[Speaker 4] (1:39:56 - 1:40:01)

Hemp as, you know, cannabis is a, is a dirty cousin of hemp.

[Speaker 1] (1:40:01 - 1:40:01)

I know, I know.

[Speaker 4] (1:40:01 - 1:40:02)

I'm talking about hemp.

[Speaker 1] (1:40:02 - 1:40:08)

I know, but it sounds funny to say, I went to the restaurant next to the bar, you know.

[Speaker 3] (1:40:09 - 1:41:07)

Okay, so climate, health. Look, so I think it's not on your list, but the number one theme that venture capitalists around the world are focused on currently is AI. So, it's probably not shown up on the data yet, right?

And I think if you're an entrepreneur thinking about starting up, firstly you have to be deeply technical. I think going back to the thing we've been talking about, don't chase the trend. The number one trend right now is AI.

Right. You know, I think AI is, is going to have very, very significant impact. And again, like, I think what could be very interesting is either tooling, you know, if you, if you can make AI infrastructure better, faster, cheaper, more reliable.

Hey, can you make these models hallucinate less? That's really interesting. Or, you have vertical.

I think vertical use cases are going to be super, super interesting, right? So, you can look at healthcare, you can look at education, I mean you can look at pretty much every industry.

[Speaker 1] (1:41:07 - 1:41:11)

Okay, so we did climate, health, AI. Kartik?

[Speaker 2] (1:41:12 - 1:41:30)

I'm like, I feel like you can't sort of materially move ahead if you don't sort of skill the larger segment of population towards employment in some sense. So, employability and what leads to that in a more material way is going to become more important.

[Speaker 1] (1:41:30 - 1:41:31)

Are you saying education?

[Speaker 2] (1:41:32 - 1:41:37)

Could be education, but it's basically towards a profession. Skill-based. Skilling.

[Speaker 1] (1:41:37 - 1:41:38)

Explain, elaborate, put that.

[Speaker 2] (1:41:39 - 1:42:14)

Like, so, like we have one example of late. So, I'll use that and plug them in. So, which we didn't realize until the guy came and pitched us.

And we've seen two, three more in the pipeline. So, basically, by the way, since we transitioned from AI, the upskilling of everybody into becoming very proficient, you know, AI enabled sort of programmers is inevitable. So, there's a whole industry that will have to upgrade.

So, just enabling that upgrade, I think is our domain to win, if you ask me. Because we can do it at a cost structure which nobody else on the planet can do.

[Speaker 1] (1:42:14 - 1:42:15)

We being India.

[Speaker 2] (1:42:15 - 1:42:17)

India. So, I'm talking again from an Indian lens.

[Speaker 1] (1:42:17 - 1:42:19)

Give me like a practical use case.

[Speaker 2] (1:42:19 - 1:42:23)

So, now I'll come to what we've funded recently, a company called Virohan.

[Speaker 1] (1:42:24 - 1:42:24)

Virohan.

[Speaker 2] (1:42:25 - 1:42:30)

Virohan. So, they realized that the phlebotomist who comes and takes your blood sample.

[Speaker 1] (1:42:30 - 1:42:30)

Say that again.

[Speaker 2] (1:42:31 - 1:42:37)

Phlebotomist. The guy who takes your blood sample. Okay.

Only 10% or so are formally trained and given a diploma, etc.

[Speaker 1] (1:42:37 - 1:42:38)

Okay.

[Speaker 2] (1:42:38 - 1:43:49)

Let's just learn on the job. Okay. So, whether you are comfortable with that or not, that's the reality of the country.

And it's not a job where you get universities to sponsor classroom education around this and train them in a professional fashion. And they discovered that out of the 60% of healthcare professionals in this country are not doctors and nurses. There's everyone but that.

And you and I would never know where they get trained in some sense. Right? And we're not talking about pharmacists.

We're talking about people in the healthcare system. So, they are going district by district, have approved courses, building in practical training with the neighborhood hospitals and clinics, tying up with that education, that college which has the ability to get the degree approved, and training away by the hundreds. And guess how much three years of curriculum costs there?

Three lakhs. Because it is leading directly to employment and skill, which can be repaid by those people. And 97% employment success.

Right. At the end of the program.

[Speaker 1] (1:43:49 - 1:43:50)

So, it's upskilling.

[Speaker 2] (1:43:50 - 1:43:54)

If you told me three years ago something like this existed, I wouldn't have believed it.

[Speaker 1] (1:43:54 - 1:43:55)

So, you're saying upskilling opportunities?

[Speaker 2] (1:43:56 - 1:45:00)

Creating professions has not been a very good strength of India, if you ask me, other than a very small sliver. And there's, you know, we left it to the ITIs of the country to do machine training and things like that. And I think there's, if we want to think of, can we become a superpower in health tourism?

Can we become a superpower in exporting education services across the web from here to the rest of the world? Can we become a superpower in more computing skills? Skilling our engineers who we churn out by the 300,000, 350,000 per year.

A manufacturing destination that challenges China. I think all of those lead to, where is that skill set? It's not simply going to come out just because you give a degree.

That transition from, so Infosys and the Wipros will put them through three months and teach everybody coding. Doesn't matter whether you've learned chemical engineering or textile engineering. In three months you're coding, right?

And so that was to serve a specific purpose. And if you look at India as a whole, I think that's a huge opportunity.

[Speaker 1] (1:45:01 - 1:46:16)

Okay, so now we have established market sizes and what sectors each one of us think we should focus on. Actually, I didn't do one. I will pick energy transition without getting into it because there's so much research available on energy transition.

I think fission, fusion will become mainstream much faster than we're expecting it to. And that will also, in a way, solve some of the other problems we discussed. There's too much climate tech here.

I think that's a good way to close market size. As much as we could derive down to the very basic numbers. And one preference of every sector that each one of you thought people should focus on.

Another question which is very applicable to you guys is, say I'm a startup. And I'm pitching to you guys to raise money. You've done this a long time.

In your experience, what have been the traits, I will ask each one of you individually, traits in companies that have worked out? And what have been the common traits in companies that haven't worked out? Give me two things that you have found in common between companies and founders that you've invested in that has worked out.

[Speaker 2] (1:46:17 - 1:47:00)

It's usually the 180 of what works doesn't work. So one of them is my bias, as I said, for people who truly relate to the problem that they're solving. So which is aligned with what both of you had chased as well in your lives.

And how you've built. I think the reason I believe that is very important is because the journey in my view, super normal journeys, the ones that those five companies that deliver the magic, those are 10 plus year journeys. And full ridden with potholes and shocks and emotional setbacks.

The only thing that keeps you going is the mission. So if you've started with the purpose of saying, there's some quick bucks to be made here, I don't see it work. Okay, got it.

[Speaker 1] (1:47:01 - 1:47:09)

So one thing you said is founders with long term vision. Mission mode. Okay, vision, mission, with something they relate with.

[Speaker 2] (1:47:09 - 1:47:09)

Yes.

[Speaker 1] (1:47:09 - 1:47:11)

A problem in their own personal lives.

[Speaker 2] (1:47:11 - 1:47:33)

That they want to solve for a long period of time. The second one is, I think, incredible evolution as, and by the way, we used to think teams are important, of course they're important. But I think I'm back to over indexing on one alpha female, alpha male, equivalent.

Because I don't think you can distribute that vision and mission.

[Speaker 1] (1:47:34 - 1:47:36)

Why one alpha male, one alpha female?

[Speaker 2] (1:47:36 - 1:47:39)

Why not just one alpha male? No, that's what I meant. Either, I'm being gender neutral.

[Speaker 1] (1:47:40 - 1:47:42)

One alpha male or one alpha female.

[Speaker 2] (1:47:42 - 1:48:05)

So I'm saying it's important for there to be one CEO, Uber, founder CEO. And yes, theoretically, private equity or late stage growth can replace them saying these guys are useless. I'm trying to judge at seed, which is my bread and butter, whether they're capable of learning, inquisitive, and self-improving to become CEOs at every stage.

[Speaker 1] (1:48:06 - 1:48:10)

Are those the top three traits you watch for? Inquisitive, curious, and willing to learn?

[Speaker 2] (1:48:10 - 1:48:11)

Yeah.

[Speaker 1] (1:48:11 - 1:48:12)

Change, in another word?

[Speaker 4] (1:48:13 - 1:48:14)

Otherwise, no chance they can scale.

[Speaker 1] (1:48:14 - 1:48:15)

You want to go next?

[Speaker 4] (1:48:15 - 1:48:20)

No, I mean, see all the investments I've done is in areas that I deeply care about.

[Speaker 1] (1:48:20 - 1:48:24)

But how, in the investments you've done, what have you learned about them?

[Speaker 4] (1:48:25 - 1:48:43)

The only ones I think I've associated with are people who I think deeply care about the problem as much as I do. I think in today's world, almost in everything that we're doing, we need a technologist. I mean, people like you and me.

[Speaker 1] (1:48:44 - 1:48:45)

We're the least skilled people around.

[Speaker 4] (1:48:46 - 1:49:08)

Right place, right time, many times in life. But yeah, so I think, like Karthik said, I think you can be a CEO material, but you need a CTO in today's world, in whatever you're building. So it's also important, you know, you want to see who's the guy who's going to help him.

If the person who's talking to you is a CEO, you need to see the quality of the CTO as well.

[Speaker 1] (1:49:09 - 1:49:29)

Big, big fan of co-founder. And to Karthik's point, I mean, you need to be multiple. I mean, to make a company work, you need that right balance in terms of personalities.

You need these complementary skills. Okay, two. I want something interesting from Rajan.

Toxic childhoods create great entrepreneurs.

[Speaker 3] (1:49:30 - 1:49:30)

Something like that.

[Speaker 1] (1:49:31 - 1:49:35)

Not the hardworking, obsessive, typical stuff.

[Speaker 3] (1:49:35 - 1:50:03)

No, I mean, look, resilience, right? Look, on average, a successful startup will have several near-death moments. You run out of money, you get sued by your biggest competitor, your co-founder leaves.

So I think being able to stick with it is really important. What does this founder, he or she, or the founding team members, are there signs of resilience and just sticking with it and just going at it, right?

[Speaker 1] (1:50:03 - 1:50:06)

And how do you discern that? It depends on the experience, right?

[Speaker 3] (1:50:06 - 1:50:39)

Like we asked the question, actually they seed invested in this company called Ethereal Machines. These guys have been at it, what, seven years? Seven, five under our watch.

Seven years, right? Yeah. So they've been at it for seven years.

I mean, like, it's hard. It's really hard. There are only two other companies in the world that do it.

And everybody said they couldn't do it. They just stared at it, they stared at it, they stared at it. Whoa, that's good.

Because, you know, now that shows resilience, right? So it could be in your own company, it could be something that you did before.

[Speaker 1] (1:50:39 - 1:50:45)

You think willingness to change their belief systems constantly, is that agility?

[Speaker 3] (1:50:45 - 1:50:51)

No, I think you should write your values in ink and your strategy, you should change.

[Speaker 1] (1:50:51 - 1:50:53)

But then if you do that, you can't be agile, right?

[Speaker 3] (1:50:53 - 1:51:01)

No, agile is, like, basically, you know, the values. I'm talking about values. Your strategy should change.

Values is like what you're about, right? Like you believe in X and Y and so on.

[Speaker 1] (1:51:01 - 1:51:02)

For example, what do you believe in?

[Speaker 3] (1:51:02 - 1:51:06)

No, like values of, let's take, like, you know…

[Speaker 1] (1:51:06 - 1:51:09)

I'm a company, should I even have values? Of course you should. What are those values?

[Speaker 3] (1:51:09 - 1:51:14)

Focus on the, like, Google value that I love. Focus on the user and all else will follow.

[Speaker 1] (1:51:15 - 1:51:16)

Do you think they really do that?

[Speaker 3] (1:51:16 - 1:51:16)

Yeah.

[Speaker 1] (1:51:17 - 1:51:18)

They focus on the user more than themselves?

[Speaker 3] (1:51:18 - 1:51:43)

Yeah, focus on the user more than they focus on revenue, even today. Really? Absolutely.

So going back, I think the first is resilience, second is agility, meaning, you know, you're able to change. So I think if you're going to be successful, one, you're going to have to go through many near-death moments. And second, you have to be able to change your strategy, change, you know, like, et cetera.

Change yourself? You have to evolve. Yeah, actually, that would be the third thing, right?

[Speaker 1] (1:51:43 - 1:51:52)

When I said change your values and belief systems, I asked whether the founder himself has to change what he thinks, believes, and lives. Many times. Constantly.

Constantly.

[Speaker 3] (1:51:52 - 1:52:19)

About the market, I mean, if you separate out values or co-inherent values, right, like, integrity is a value. You know what I mean? Like, hopefully you're not changing that.

Being customer-obsessed is a value. Hopefully you're not changing that. You know, unless you're willing to go at it 10 to 15 years, making very little money, going through really excruciating times, working seven days a week, 20 hours a day, don't do it.

[Speaker 1] (1:52:19 - 1:52:20)

Do we really believe all that?

[Speaker 3] (1:52:20 - 1:52:22)

Yeah. Because I've seen it.

[Speaker 1] (1:52:22 - 1:52:25)

Do we really believe that success is because of hard work?

[Speaker 3] (1:52:25 - 1:52:27)

I think it's obsession. Absolutely.

[Speaker 4] (1:52:27 - 1:52:52)

No, no, I mean, you want to tell us, you know, like, just to set it right. So I started trading the market in 97. Zerodha started in 2010.

All our success came in 2016. So it took us 20 years. Yeah, there you go.

Right, you know, so there is, you know, like, today, of course, we can have five days a week and all of that. But, you know, so it… I lived in my office for six years.

No, that's my point. Right, that's my point.

[Speaker 5] (1:52:53 - 1:52:53)

Exactly.

[Speaker 3] (1:52:53 - 1:52:53)

There you go.

[Speaker 5] (1:52:54 - 1:52:56)

I thought you were questioning. No, no, no.

[Speaker 1] (1:52:57 - 1:53:36)

Five days a week, time to five. No, but I'll tell you where the dichotomy arrives in this conversation. I feel hard work in the mainstream is a way of appeasing our ego, both as a consolation and as a reward.

Consolation when things don't work out, I can tell myself, but I worked hard. When I win, appeasing my ego on the other end. Because everyone can argue, like, probably the watchman of my apartment works three times as hard as me.

So can you really correlate hard work to success?

[Speaker 2] (1:53:36 - 1:53:42)

Absolutely. Necessary, but not sufficient. I go back to that argument.

It's not a guarantee.

[Speaker 1] (1:53:42 - 1:53:43)

But like that, everything is necessary.

[Speaker 2] (1:53:43 - 1:53:44)

I'll tell you why.

[Speaker 1] (1:53:44 - 1:53:49)

I agree with you there. Hard work is a precondition. It is.

But it is not the main condition.

[Speaker 2] (1:53:50 - 1:54:13)

You might have gotten lucky by getting enough capital to be able to buy some of that on the cheap in a hot market, etc. But actually the more capital you get, if you're a responsible entrepreneur, your work just increased again, right? So it's never ending in my view because your organization does not hit steady state, neither does your customer base, neither does your product, any time in the near future.

[Speaker 1] (1:54:14 - 1:54:24)

Yeah, but Kartik, see, the thing here is, I'm looking for nuance. If people watching this are told, you need to be hardworking, you need to do this, what are they learning from us?

[Speaker 3] (1:54:24 - 1:54:28)

This is not hardworking. Hardworking is not 7 days a week, 18 hours, 15 hours a day.

[Speaker 1] (1:54:28 - 1:54:30)

You need to be obsessively hardworking.

[Speaker 3] (1:54:30 - 1:54:32)

This is insanely hardworking.

[Speaker 1] (1:54:32 - 1:54:44)

What did you say you need to relate to the problem that you're solving? I want something different, which is not obvious to the entrepreneurs watching this because you guys have the experience of picking so many. I don't want the generic, right?

[Speaker 3] (1:54:45 - 1:54:51)

I know, but the thing is, as you guys know more than anybody else, Actually, this is not rocket science.

[Speaker 2] (1:54:52 - 1:55:05)

This guy, just as an example, he asked me last week when I'm in Bangalore, and he's hacked a meeting with me to the airport tomorrow to get that extra hour. So you want evidence? That's kind of evidence.

[Speaker 1] (1:55:06 - 1:55:12)

Is networking skill in today's world to be able to have gotten that meeting with you either through a referral or something?

[Speaker 2] (1:55:12 - 1:55:14)

No, this is my profounder for five years.

[Speaker 1] (1:55:14 - 1:55:16)

No, but is that a very important thing?

[Speaker 2] (1:55:16 - 1:55:20)

Absolutely. I've hacked Narayan Murthy's car door to ask him for money.

[Speaker 1] (1:55:20 - 1:55:21)

Yeah, give me that then.

[Speaker 2] (1:55:21 - 1:55:38)

That's what I'm saying. You have to push, and that's not me, by the way. I had to play out the scene in my head on how I would interrupt him on his walk from the podium to his car ten times.

And then the last chance was the door was shutting, so I had to hold the door. That's not me.

[Speaker 1] (1:55:38 - 1:55:40)

Okay, you give me one now.

[Speaker 3] (1:55:41 - 1:55:42)

Storyteller.

[Speaker 1] (1:55:42 - 1:55:43)

Yeah.

[Speaker 3] (1:55:43 - 1:55:48)

So can you really tell the story in a way that's interesting? Very few founders can.

[Speaker 1] (1:55:49 - 1:56:12)

If somebody is looking to build product ahead of insight and a deeper appreciation for what really the problem is, I think I've seen that as a recipe for disaster in most companies. What they will have is a 100-member tech team, right?

[Speaker 3] (1:56:12 - 1:56:13)

Average product.

[Speaker 1] (1:56:13 - 1:56:39)

A very average product, because they have not gotten enough insight. So I think this thing that you need good tech, like hardworking is a prerequisite, but how you apply it. So hard work, you can direct your hard work.

So that's what I wanted to kind of, even in the hard work discussions, you can direct it with the right hustle in the right way to achieve a right end goal, right?

[Speaker 4] (1:56:39 - 1:56:39)

Okay.

[Speaker 1] (1:56:39 - 1:56:43)

Or it can be just misdirected feel-good hard work. Actually, I have one.

[Speaker 4] (1:56:43 - 1:56:51)

So I think outside all of this, it's just people skills. You know, just to be able to keep your team together.

[Speaker 1] (1:56:51 - 1:57:02)

I think what he's trying to say is psychologically, even as an alpha male, you need to be more

accepting of your feminine side. From a very psychological standpoint.

[Speaker 2] (1:57:03 - 1:57:08)

It's more than that, I think. That's what I said, you've got to become a coach and there are no boundaries there.

[Speaker 1] (1:57:08 - 1:57:33)

Yeah, because that societal construct really has negated the usefulness of a feminine side in a man so much that most males are not able to do that. So that's a good point. If I could add one, I would say screwed up childhoods, staying away from privileged upbringing is something to look for.

Like here?

[Speaker 3] (1:57:35 - 1:57:44)

Staying away, I don't know, but I think I'm the first to admit you could look for it, by the way, but as a founder, you know, the questions you can, I mean, if you did have a screwed up...

[Speaker 4] (1:57:44 - 1:57:45)

You can't reverse your life.

[Speaker 3] (1:57:45 - 1:57:50)

You can't go back in time. You could have a privileged background, but if you're not willing to work seven days a week...

[Speaker 1] (1:57:50 - 1:57:55)

I'm asking you what you look for. No, no, no. You're saying for somebody pitching you to inculcate.

[Speaker 2] (1:57:57 - 1:57:58)

I think the beauty is...

[Speaker 3] (1:57:58 - 1:57:59)

I love the idea, but man...

[Speaker 1] (1:58:00 - 1:58:10)

Everybody has a screwed up childhood if they want to look at it that way. You have to build on that emotion. True, true.

Have you ever met someone who has told you and truly believed that they loved their childhood? No.

[Speaker 2] (1:58:11 - 1:58:25)

No, you're right. They're extracting something for a right to win, right? And they're saying, this is my proof to the world that I can win.

And they're extracting some part of... Of course they're extracting most of it.

[Speaker 3] (1:58:25 - 1:58:33)

I think I'd also say that, you know, trying to tell a story that's not real very quickly, because this is what we do for a living. We meet thousands of founders.

[Speaker 1] (1:58:34 - 1:58:36)

Another thing I was hoping somebody would say, authenticity.

[Speaker 3] (1:58:37 - 1:58:43)

Say it like it is. You have no automation in the business, say it like it is. 500 people packing stuff, okay great.

[Speaker 1] (1:58:43 - 2:00:01)

At least you told me that. Authenticity to the extent of self-recognition where you're not pretending to be a machine. You're not pretending to be a saint.

You're not pretending to be anything, but you're cognizant to the fact that you're greedy, you're jealous, you're insecure, like every one of us sitting here is. So the time spent pretending to be a person that does not have those traits is futile. And if somebody recognizes that, I think it's extremely appealing and endearing.

So this whole idea of founder market fit. As much as important as product market fit is. In 10 years, will you love doing it?

You're passionate about the space, but the space requires execution. The space requires you to solve a problem. And that typically requires different skills and characteristics that may not be natural to you.

And are you willing to change? And are you willing to become that different person? I was talking about these B2B manufacturing startups.

I'm seeing these founders struggling because they all thought this is entrepreneurship and

startups meant tech. Right? And now they're figuring out these are like really heavy lifting problems.

[Speaker 4] (2:00:02 - 2:00:23)

Ability to stay true to the mission. So my question was really, one, you're going through tough times. Right?

And then one, you're going through good times. Tough times, you kind of know, like people, if a business breaks, it's a tough time, it broke. But are there many times where companies are going through good times and they break because co-founders don't get along well?

Happens.

[Speaker 1] (2:00:25 - 2:00:42)

You know, they start out with the same kind of passion, you know, focus. The business takes a different shape. It's doing well, but it's become a different business.

And one of them relates to that different business and the other one does not relate to it.

[Speaker 2] (2:00:42 - 2:00:59)

It's also sometimes, it could be that the CEO persona has evolved to something and the number two or number three in hierarchy, for what it's worth, is not as motivated to continue doing the same thing or has become less relevant.

[Speaker 1] (2:01:00 - 2:01:48)

Just one thing. One thing a person pitching to you does wrong, you would like shut off instantly. Oversimplification of time.

Elaborate. Total addressable market, right? Oversimplification.

It means that person's homework is like, he's saying India has 140 crore people, I'm selling shoes, I can sell. No, no, no, no, no. It's not that bad.

I mean, they won't get a meeting. But I'm saying that they have not, I mean, okay. Agri and Allied Services is a 500 million, 500 billion market, right?

And he's selling, he or she is selling organic freshware F&B in the market. But I get your point. Oversimplification of time.

Next.

[Speaker 3] (2:01:49 - 2:01:55)

I would say, look, basically, I don't say wow even once because of lack of insight.

[Speaker 1] (2:01:55 - 2:02:08)

Can I say one? Overtly optimistic without voicing that the future is uncertain and all of these events can occur. Yeah.

Next. Kartik.

[Speaker 2] (2:02:09 - 2:02:47)

Cases where I've seen founders sort of give no voice to anybody else on the call. They bring people in as theoretically team or co-founders. And basically, you feel like the others have nothing to share.

It's the variant of a CTO problem equivalent. You need someone who, you know, can express that strong vision as well. And a lot of mistakes have been made because we've overestimated that individual's capability.

So I start, believe it or not, in a 20 minute introductory call. Sometimes I will ask for who owns how much.

[Speaker 1] (2:02:48 - 2:02:55)

Do you think overconfident people are better off to deal with than underconfident people when starting a company? Because they will overcompensate.

[Speaker 2] (2:02:55 - 2:02:58)

Yeah, if I had to pick one, I'd pick the overconfident.

[Speaker 1] (2:02:59 - 2:02:59)

Why?

[Speaker 2] (2:02:59 - 2:03:09)

So there has to be a will to say that I can conquer any mountain, right, in some sense. Okay. That it doesn't, without that there's no chance.

The first small peak you'll give up.

[Speaker 4] (2:03:09 - 2:03:21)

I mean, I think setting the wrong expectation, overselling. And I think also the energy of sorts, you know, like if, it's, I don't know.

[Speaker 1] (2:03:21 - 2:03:44)

You wanted soft stuff. Bunch of questions, quick fire. One of you pick it, answer it.

I think it'll help everyone. Like, we were trying to establish how much VC money has come into India. And we figured that number is 60 or 70 billion.

The AUM in the VC is roughly around 60 billion.

[Speaker 3] (2:03:45 - 2:03:49)

I think the total startup funding is a lot more than that, right? Because…

[Speaker 1] (2:03:49 - 2:03:51)

So we're leaving PEs in and all out.

[Speaker 3] (2:03:51 - 2:04:16)

No, no, I'm not talking about PEs. I'm not talking about PEs. Because a lot of capital also came from strategics.

So if you look at the year 2021, the total funding into Indian startups was over 40 billion dollars. That was up from 10 billion in 2020. And 20, I mean, this depends on like which data, but 2019 was 14 billion, right?

So the way to think about startup funding, which is largely VC, but also includes strategics.

[Speaker 4] (2:04:17 - 2:04:19)

Yeah, that was Jio, I'm guessing, right? In that 2021?

[Speaker 3] (2:04:20 - 2:04:23)

The big ones are tucked into that. Yeah, but that's 10 billion of that, right?

[Speaker 1] (2:04:24 - 2:04:34)

10 billion? So, see, and also, you know, what we're not counting is, we are saying AUM of Indian VCs. Right, VCs in India.

I think what…

[Speaker 3] (2:04:34 - 2:04:37)

That doesn't include SoftBank, it doesn't include Tiger, it doesn't include KOTU.

[Speaker 1] (2:04:37 - 2:04:54)

What Rajan is saying is that there is AUM that is kind of quasi-allocated for India, but sitting outside. Is public market better than private markets? No.

Liquidity, cheaper multiples, maybe lesser growth. For whom?

[Speaker 3] (2:04:54 - 2:04:55)

You know which side I'm on? For whom?

[Speaker 1] (2:04:55 - 2:04:57)

For money, blanket.

[Speaker 3] (2:04:57 - 2:04:59)

For investors, for founders.

[Speaker 1] (2:04:59 - 2:04:59)

For investors.

[Speaker 2] (2:05:00 - 2:05:02)

Privates. Because that's where innovation is. Okay.

[Speaker 1] (2:05:03 - 2:05:17)

If I were to start a company today, let's say I'm making something that we spoke about. We spoke about a drone company. Should I be LLP, a partnership, or a private limited company?

Pick one. Why?

[Speaker 2] (2:05:18 - 2:05:25)

No, just keep it simple. Private limited. You want to keep all options open in terms of taking additional capital, and it's…

[Speaker 1] (2:05:25 - 2:05:27)

Higher taxation if it were to be profitable.

[Speaker 4] (2:05:27 - 2:05:29)

No, but the thing is, there's no other option.

[Speaker 2] (2:05:29 - 2:05:33)

If you want to raise capital, it has to be private limited. Yeah, one is that. And second, I mean, look…

[Speaker 1] (2:05:33 - 2:05:35)

If you have to raise capital, best to be private limited.

[Speaker 2] (2:05:36 - 2:05:36)

Yeah.

[Speaker 1] (2:05:36 - 2:05:41)

If you ever intend to raise capital, I think that's not an insight which is easily…

[Speaker 2] (2:05:41 - 2:06:02)

Yeah, I think in lifestyle businesses which are oriented towards partnership or service revenue of one kind, then it makes a lot more sense to have an LLP or a proprietorship or whatever. Because you intend to take the profits, you know, into your own pocket, and then pay taxes. But in every other sense, when you have a secondary shareholder, you have to be private limited.

[Speaker 1] (2:06:03 - 2:06:38)

Okay. Is the 220 model skewed? Does it misalign interest from stakeholder to venture capital guys?

And is the seven-year tenure or the 10-year tenure too low? Answer it. I think the 10-year tenure is, for early stage VCs, a necessity.

And in markets like ours, I think it's more like 10 plus two or 10 plus three. It is not as easy for a venture capital guy to make money as most people assume. You have to return significant value before you can start charging money.

[Speaker 2] (2:06:38 - 2:06:53)

The entrepreneurs who win for us make multiples and multiples of the money we make. And make it much faster than we make it. So ours is a patience game where you have to still average out all your winners to see actually meaningful money.

And it comes right at the end.

[Speaker 4] (2:06:54 - 2:07:20)

Okay. I had just one question. So in the U.S., I was reading this article which said for the last decade, the benchmark NASDAQ has outperformed the VC benchmark. So in a world like that, where you can actually buy an ETF for almost zero cost, do you think there will be pressure on this 220 in the future? I mean, forget India. I'm just talking in the U.S. context.

[Speaker 2] (2:07:20 - 2:07:25)

Without getting into specifics, I think there are occasionally some funds who can charge even more than that.

[Speaker 4] (2:07:25 - 2:07:25)

Correct.

[Speaker 2] (2:07:25 - 2:07:35)

But it comes only because there's repeated evidence of success of beating those benchmarks. And that is the entitlement of the top quartile of the venture.

[Speaker 3] (2:07:35 - 2:07:38)

But top performing funds have outperformed the NASDAQ.

[Speaker 2] (2:07:38 - 2:07:38)

Yeah, by a mile.

[Speaker 3] (2:07:39 - 2:07:39)

Of course, yeah.

[Speaker 2] (2:07:39 - 2:08:04)

So I think it's a top quartile syndrome. Everybody else, you have to give a chance for them to try. So you can't suddenly give them a lower price and lower cost structure and say beat Sequoia or Axel.

How will they beat them? Right? So the starting point, sadly, is that LP can choose not to participate in that new fund.

But I think less than that, you can't function. Unless you have jumbo-sized funds and you're just making too much fee.

[Speaker 1] (2:08:05 - 2:08:06)

What about SPACs?

[Speaker 3] (2:08:06 - 2:08:07)

How have the SPACs done?

[Speaker 1] (2:08:07 - 2:08:09)

Most of them have shut down.

[Speaker 2] (2:08:09 - 2:08:12)

They're terrible, actually. For most assets, they're terrible. It's a gamble.

[Speaker 1] (2:08:13 - 2:08:16)

Would anyone like to define SPAC in one sentence?

[Speaker 2] (2:08:16 - 2:08:28)

Special Purpose Acquisition Company, usually where there's enough people willing to give the equivalent of a venture manager the ability to go and identify one or more assets to buy.

[Speaker 1] (2:08:28 - 2:08:29)

Bringing down the time taken.

[Speaker 2] (2:08:29 - 2:08:49)

And do a roll-up, right? So the financing comes before knowing what they want to buy. And you're essentially giving incredible power to an operator or an investor to say that there are great ideas out there which are mature, that I can buy.

The problem is, most SPAC managers go and buy, I think there's a misalignment of interest and they buy bad assets.

[Speaker 1] (2:08:49 - 2:09:13)

How is India different from the US? Why are funds making a higher return in America than India? We're in a different point in our journey, right?

As a country. And we have just got started in the VC ecosystem where entrepreneurs are learning how to build, learning how to scale, learning how to IPO and return money.

[Speaker 4] (2:09:13 - 2:09:15)

So there's no exits in M&A.

[Speaker 1] (2:09:15 - 2:10:11)

That's what I mean. Just one M&A here and there can't build the ecosystem, right? Okay, so this one is actually close to my heart.

When IPOs are happening, like, I have a friend called Kiran from Biocon. She was telling me about her IPO when it happened. How it exponentially helped grow her business at a time when access to capital for her was only the IPO route at that scale.

Why are all VC-funded companies of today not raising primary capital but doing OFS and giving exits and secondary capital to previous investors and thus dumping overpriced stuff onto unsuspecting retail investors like me?

[Speaker 2] (2:10:11 - 2:10:19)

So I agree with Nitin on this. I didn't know you share the same view publicly. But I think it's almost like a sin to do that with public investors.

[Speaker 1] (2:10:19 - 2:10:20)

Because everything has been OFS.

[Speaker 2] (2:10:20 - 2:10:24)

So I'll tell you what has happened. Basically, the private market was willing to buy.

[Speaker 1] (2:10:24 - 2:10:32)

Okay, sorry. OFS is Offer For Sale, secondary round where you're not putting money into the company, but a previous investor is exiting to you.

[Speaker 2] (2:10:32 - 2:10:37)

So misalignment of interest. People thought they can get away with ridiculously priced IPOs in the public market.

[Speaker 1] (2:10:38 - 2:10:40)

But that was venture capital doing it. Of course, of course.

[Speaker 2] (2:10:41 - 2:11:00)

When it comes to problems in India, it's nobody's fault. It's everybody's fault. You can't just exempt the founders from it.

If they really want to put down their foot, they have to. If they're so determined, don't raise stupid money. No, the founders weren't for the right too.

Yeah, so don't raise stupid money. Don't make excuses of coming down to a percentage point.

[Speaker 1] (2:11:00 - 2:11:01)

No, I'm not saying founders are not wrong.

[Speaker 2] (2:11:01 - 2:12:02)

I'm saying why were founders and venture capital wrong? At some level, you're right. The capital is a bigger sort of culprit, right?

So what it was doing was essentially trying to bolster up the price. Because everybody's come at a certain entry point and they want a premium at their exit. And unsuspectingly, there were investors, private investors, who were willing to buy at that exorbitant price.

Who then also wanted a 20% bump up. Because they said, I just showed up your, you know, issuance price to a certain level. And then the company looks back and says, I don't really need any money.

So you actually skewed the entire idea of an IPO into the equivalent of what the Americans call a direct listing. But after pumping the price up significantly, with no basis of justifying that kind of valuation. So the private investors who have an incredible capacity to buy these kind of stocks at much higher premiums are saying, we're fine, we're all covered in terms of price discovery.

[Speaker 1] (2:12:02 - 2:12:06)

And there is a funny thing called a pre-IPO round before it's been dumped on retail.

[Speaker 2] (2:12:06 - 2:12:11)

And they've raised more capital as a result. Sometimes maybe there's a secondary, but a lot of times there's a primary.

[Speaker 1] (2:12:11 - 2:12:17)

So there's another category of investors called crossover investors. But everybody's dumping onto the retail, who is kind of like getting stuck with this.

[Speaker 2] (2:12:17 - 2:12:43)

So the education now I give my founders is, if you truly want to go IPO, and you don't want us to feel really bad as your investors, basically make sure that no investor, retail or private, has ever lost money in a two, three year period. So nobody's saying you can control every shock of the price. But if you've gone and listed, and that damn thing has collapsed and not come back in three years, then all of that is on your head.

[Speaker 1] (2:12:43 - 2:12:49)

Or set a ratio, right? If you're doing an issue, not more than 20% can be OFS or secondary.

[Speaker 2] (2:12:50 - 2:12:53)

Yeah, but you're right, there was too much sitting, and we're all in a rush to get out.

[Speaker 1] (2:12:53 - 2:12:55)

But maybe that's something for the regulator to look at and do.

[Speaker 2] (2:12:56 - 2:12:56)

Potentially.

[Speaker 4] (2:12:57 - 2:13:06)

The surprising thing here is, the retail subscription usually is like 10-15%. So it's actually the institutions participating. That's also true.

The QIBs. Yeah, that's also true.

[Speaker 3] (2:13:07 - 2:13:34)

But I think what has changed from Kiran's time to now, right, is the availability of venture capital and growth capital, right? You can build a company for 10 years, you can raise many rounds of financing, you can raise hundreds of millions of dollars, you can push back your IPO. That still does go to say, and I think by the way, that dynamic has changed now, right?

I think 2021, after 2021, I think if you look at IdeaForge, and all the upcoming IPOs, at least our sense is they will be priced much more appropriately.

[Speaker 1] (2:13:34 - 2:13:49)

The OFS, the secondary component of an issue, if it is capped, will probably be better for the ecosystem in the long run. Yeah? Why is venture capital focused on so few sectors in India?

No, that's changing, right?

[Speaker 3] (2:13:49 - 2:13:53)

It's not focused on one sector. The question is, what sectors are we not focused on?

[Speaker 1] (2:13:53 - 2:13:56)

For example, agriculture gets very little venture capital.

[Speaker 3] (2:13:56 - 2:13:59)

No, agriculture is actually, there are a thousand agri-tech startups.

[Speaker 1] (2:13:59 - 2:14:22)

But relatively as a corpus of the world. Relatively, because I think, you see, it's always a question of supply of entrepreneurs who have an intention to work in that space and who relate to that space and like I said, who want to go tap into that opportunity. So it's not like we'll get entrepreneurs and we'll not fund them.

[Speaker 3] (2:14:22 - 2:14:30)

Actually, India has among the most broad-based, maybe next to China, by far much more broad-based than the US or UK or Israel.

[Speaker 1] (2:14:30 - 2:14:35)

So there are a lot of sectors that we invest in. So many sectors. Are US guys like full?

Yeah, they will know about consumer brands.

[Speaker 2] (2:14:35 - 2:14:48)

Outside of, let's say, biotech, life sciences, a few of those really deep sectors, we probably have, for an ecosystem this young, we have sector-specific VCs in every sector. There are two or three funds which just focus on agri.

[Speaker 1] (2:14:49 - 2:14:54)

What's the correlation between public markets and private markets? Is one leading the other? Public markets are doing well.

[Speaker 3] (2:14:54 - 2:14:56)

Public markets lead the private market.

[Speaker 1] (2:14:56 - 2:15:13)

Private markets tend to do well because you have an exited IPO, right? Correct. OFS.

Prashant brought this up earlier tonight that only two companies have raised more than 50 million from external investors this year. No, no, no. Two companies have raised more than 40-50 bucks.

[Speaker 3] (2:15:14 - 2:15:19)

Full calendar year. 50 million? No, no.

More than that. Glen Scott raised, what, 500 million? No, that's secondary.

[Speaker 1] (2:15:19 - 2:15:32)

No, no, no. I'm talking about external. From new investors.

Yes. From new externally led rounds, there's been two this year. So, it's a tough market.

So, doesn't that mean chaos in VC world?

[Speaker 3] (2:15:33 - 2:15:41)

This is the best time because you know what's happening is… Cleanups and stability. No, not that.

Companies are focused on what they should be, which is to get profitable.

[Speaker 1] (2:15:42 - 2:17:00)

Do you think India-focused funds are much larger than they should be? Like, for example, if Prashant were to only have 100 million dollars to allocate to India, would you perform significantly better? I think if you're in the early stage component of the fund, fund seed to scale, right?

So, you don't stop at supporting the company just for seed. And like Karthik was talking about this, being able to provide the entire continuum of support to the company, I think is something entrepreneurs value. And they want you to be with them for a reasonable part of the early cycle because it's not easy.

I mean, there have been periods where we have had great funds who can follow on in series B and C in India and there have been periods where there's been a void in that market. So, I think if you want to support your companies and make sure that they have that capital continuity, I think it's good to have a certain scale. If I were to be starting off in the work ecosystem today and I want a job with you guys in a venture capital fund, what do I need to do?

What do I need to study? What experience do I need?

[Speaker 2] (2:17:00 - 2:17:06)

Usually, it'll help you if you've worked in the startup ecosystem. Yeah? I think so.

[Speaker 1] (2:17:06 - 2:17:09)

So, if I worked in a fintech startup, you would be more likely to hire me?

[Speaker 3] (2:17:09 - 2:17:13)

We just hired somebody. Yeah? She worked at a fintech startup.

[Speaker 1] (2:17:13 - 2:17:15)

And what are the typical pays when you start off at a VC firm?

[Speaker 3] (2:17:15 - 2:17:17)

Depends on whether you're an analyst or an associate.

[Speaker 1] (2:17:17 - 2:17:20)

The first level at the bottom. You're an associate, right?

[Speaker 5] (2:17:21 - 2:17:21)

Yeah.

[Speaker 1] (2:17:21 - 2:17:28)

You're an associate. I think you start somewhere in the 60-70 lakh. What are you saying?

Really?

[Speaker 2] (2:17:29 - 2:17:30)

For us, it'll be half that number.

[Speaker 3] (2:17:31 - 2:17:32)

It depends on whether you're an analyst or an associate.

[Speaker 2] (2:17:33 - 2:17:35)

It'll vary across different firms.

[Speaker 3] (2:17:35 - 2:17:38)

Most firms have a two-year program called an analyst program.

[Speaker 1] (2:17:38 - 2:17:39)

Which is even lower. Which is lower.

[Speaker 3] (2:17:40 - 2:17:40)

Much lower.

[Speaker 1] (2:17:40 - 2:17:45)

And even there, you would look for experience in a startup. No, no, no.

[Speaker 2] (2:17:45 - 2:17:52)

I mean, in the analyst program, our profile is usually… There you just look for smarts, who've actually figured out how to work in a work environment. You don't want to train them on that.

[Speaker 1] (2:17:52 - 2:17:57)

Is like a fancy education a prerequisite? No. But do most people who enter your companies have it?

[Speaker 2] (2:17:58 - 2:17:59)

They tend to have experience in consulting. See, I think…

[Speaker 3] (2:18:00 - 2:18:05)

Analyst program, usually two years of consulting. And if they've worked in a startup for a year or two, that's a huge boost.

[Speaker 2] (2:18:06 - 2:18:19)

The sad part is the quality of applicants, because it's such a small cottage industry. You get such high quality, it's difficult to ignore. And trying to catch a maverick in that crowd of 200 is tough.

That's the number you get per application.

[Speaker 1] (2:18:19 - 2:19:33)

It's work from home, AI, woke culture, society, inculcating a certain level of, I would say, distrust in the capitalistic way of life. All of these put together, if there is one big change you see in the way we live and work next few years, what could it be? I think most countries, as they've gotten richer, I think they found it difficult to manage this idea of good capitalism.

And this whole trickle down in terms of that when the rich get richer, the poor don't get poorer. But I think we have the challenge. I don't know if you have an answer for that, but I think we will have challenges.

Income inequality, wealth inequality. Another way of putting it, you're saying asset prices are inflating faster than wages in the world. Wages in the world, and few people can, the good can afford better and better products.

Whoever has assets will continue to get richer.

[Speaker 3] (2:19:33 - 2:20:00)

Yeah, I think consumers will continue to seek out experiences more and more. You see that now with the younger Gen Z, et cetera, right? They don't own homes, they don't own cars.

And I think that trend will just continue. So if you're an entrepreneur building, especially focused on consumer, looking to build on that great experiences, I think you can't go wrong. Some of our best performing companies are global travel companies.

[Speaker 2] (2:20:00 - 2:20:48)

I think it becomes even more important to establish what Rajan referenced a while ago around what your value system is and sticking to it. Not trying to cater to all of the elements that you spoke about. You can't cater to a WFH person if you believe it's WFO, right?

You can't fake woke culture if you don't believe in it. Everything changes, the way you select people, the way you build organizational culture is tuned to your core beliefs, right? So all of these are impediments in how quickly you can scale.

I think you're much happier with the organization you've built 10 years down the line. So at least building a small venture firm, I think this has become very important for us.

[Speaker 4] (2:20:49 - 2:21:40)

No, but I think I'm actually a little optimistic here. I think the newer generation are going to question the true cost of everything. In a sense, I think the problem with this generation, the 2000 to whatever, 20, I think the capitalism had taken a very ugly side where you're growing at any cost.

You don't care what's happening. You just have to grow at whatever cost. But the younger generation, because they don't want to own material things, they want to go travel, they want to experience things.

I think they'll be less capitalistic than the generation that went by. Businesses, entrepreneurs who are building for that world, for that audience, will be able to stand out.

[Speaker 1] (2:21:41 - 2:26:51)

There's something that I really, really believe in. I think subconsciously society is ignoring so much in this drama of virtue signaling which is happening in the ecosystem. I feel many people are pretending to be unnaturally virtuous, unnaturally altruistic, selfless, whereas they truly are not.

That pretends worked in the previous generation. I can give you many examples, but I wouldn't like to, by lack of access because people could not see what a person was doing at every point of time. I think in this generation and the next, to recognize our shadow personalities, to recognize that we are all human and be authentic about it, be authentically greedy, authentically capitalistic, I think that will be the cool of tomorrow.

I hope more people think like this because if not for that, we can all sit and complain about income inequality, but income inequality has not happened necessarily because of the ecosystem, but because of human nature. If I were to divide all the money on the planet equally amongst everybody, tomorrow, one will work harder than another. The day after tomorrow, one will be more skilled at a certain thing.

And we will come back to where we are today, maybe not in 5, 10 years, but in 50 years or 100 years. Because that is the very nature of us being human and that is what makes us thrive to begin with. So I don't think we should look down on the anomalies of capitalism.

I think they need to be respected. Imagine an alternate world where every company is run like Air India was once run. I don't think it would be net, net better for the productivity of the world at large.

I don't think socialism works at all and we have more than enough precedent of that. I think capitalism has to be appreciated and that probably is the most likely scenario in which our country can get lucky and go towards that 5 trillion, 10 trillion dollar economy in the fastest way possible. Okay, last leg of today.

Oh, we have one more. Charity. Oh, right.

Yeah, last leg. Okay, so when we started this show, which was not a long time ago, like see, we don't do very dramatic, entertaining things. It's not like, you know, I want to call you here and talk about by Jews and Bharat Paye, none of what we did.

The very intrinsic reason for doing this is the summary and everything that we discussed today is not available for a student graduating college in India today. But this is a prerequisite for somebody starting a company. And a facet of this, which we started a couple of episodes ago, I would not even like to say charity.

Firstly, I don't believe charity is altruistic. I feel like everything has subtext and context, which I might not be able to speak about in a manner which will be comprehensible by many, many people, including myself in most cases. But I think charity is done from a place in your heart where your morality is being appeased and we're all each triggered by different virtues in life, morality being a very big one.

So let me call it change. We also hope this episode can bring about change in society and get

more people to contribute in their particular societies. So what we do at the end of every show, each of you commit to donate a certain amount of money.

I don't collect the money. You donate directly to the charity which gets picked. But we put up five options on a poll online, on YouTube and social media.

And in a very democratic manner, people will vote for it. Whichever charity wins amongst the ones that you guys have picked will get the sum culmination of that money. So each of you could maybe suggest an amount that you would like to donate to whichever charity and name a charity as well to put up in the poll.

Since we spoke so much about climate and I kind of am all in there, I'd like to kind of pick act environment. Act is something a lot of the VCs here have been part of. And I will commit, of course I've already committed to act.

I'll commit an additional 25 lakhs to act. New capital. And act environment focuses on air, water, waste and land use.

All huge problems for India. And as we become a larger and larger economy, we got to take care of some of these. Rajan, next.

[Speaker 3] (2:26:51 - 2:27:21)

Yeah, so the charity is a small charity in Delhi called the Smile Foundation. Focuses on children and helps them on health and education. And it's a charity that we're quite active with where my daughter teaches English and we do a bunch of other things with them.

Actually, it's nutrition, health and education. So I'll commit the same amount that Prashant has committed.

[Speaker 1] (2:27:22 - 2:27:23)

25, 25 or 50. Karthik.

[Speaker 2] (2:27:24 - 2:27:38)

There's this group called Angan in Mumbai. Okay. They work with child abuse and anything that comes out of those, they help those children.

My sort of mental limit is like, let's say, a lakh of rupees.

[Speaker 4] (2:27:38 - 2:27:44)

Yeah, makes sense. You? Are you selecting something?

Because I have two in mind. So I can tell both of ours.

[Speaker 1] (2:27:44 - 2:27:46)

No, no. I let audience pick mine.

[Speaker 4] (2:27:46 - 2:28:39)

Oh, Jesus. So there is Say Trees. So I think, you know, like through the Rain Matter Foundation, the way we are thinking about climate change is that it also has to solve for Indian problems, which is creating livelihoods.

So what Say Trees is doing is, is we're going to put more money in the hands of the farmers. So turn those barren lands into food forests, in very, you know, grown through sustainable practices. See if you can geofence, give them some carbon credits as well as a supplementary income.

And yeah, so the money really goes into getting those food forests up for the farmers. And we've been supporting them for a while from the Rain Matter Foundation. So yeah, so we'll add 25 lakhs more.

[Speaker 1] (2:28:40 - 2:28:55)

Okay. And Act Environment also supports them. Yeah.

So I'll also add 25 lakhs. And I will let the audience pick a charity for me. And we will put this poll out as soon as the episode is out.

Super. Thank you everyone for doing this.

[Speaker 3] (2:28:55 - 2:28:58)

Thank you. Thank you. Thank you.

Thank you, everyone.

[Speaker 1] (2:29:00 - 2:29:17)

Dude, you got four more. Then I have 40 more here. What are you saying?

No, no, no. No, I'm joking. Next time I'm going to ask you, how long is this podcast?

I'm done. I'm not done.

[Speaker 5] (2:29:18 - 2:29:23)

I'm just like... Sajid is wondering, what was that siren for?

[Speaker 4] (2:29:23 - 2:29:28)

To make the experience nice and cool, yeah. This was like a proper test of neuroplasticity.

[Speaker 1] (2:29:31 - 2:29:39)

Hi, I'm Nikhil Kamath. I'd love to know what you thought of the episode. Comment, like and subscribe.

And thank you for watching.